6

How Politicians Tie Money to Electoral Support

This book offers a theory for how incumbents operating under a certain configuration of political institutions can use government resources to stay in power. The theory holds that when incumbents can discern their electoral support at a disaggregated unit within their electoral district and influence allocations of central government resources to those units, they will be able to tie the amount of resources units receive to their voting behavior. I call this electoral strategy *group-based clientelism* (GBC). I further hold that when incumbents are able to create the impression that they are so dominant no one stands a chance of unseating them, they will be able to go even further, and make those units compete for resources. In such a competition, a *tournament*, the amount of resources units receive will be a function of the relative level of support they provided the incumbent in the most recent election. Testing the theory first requires a deep dive into a country's political institutions to ascertain whether these conditions are met and in how many electoral districts. After this has been verified, the researcher must gather data on voting behavior, resource allocations, and other confounding variables, and devise stringent empirical tests capable of pitting the theory's propositions against those of rival theories.

In this book, I provide a blueprint of how this is done by turning the spotlight onto an understudied case in political science: Japan. In Chapter 5, I explained how the laws governing election administration, government structure, and fiscal relations between the central government and lower-tier administrative entities in contemporary Japan combine to create many electoral districts in which tournaments are possible. In this chapter, I describe a comprehensive panel dataset I have put together, with data on voting behavior, central government transfers, and numerous other fiscal and demographic variables, all measured at the level of the relevant lower-tier entity, which in Japan's case is the municipality. Altogether, my dataset spans the twelve Lower House elections

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held between 1980 and 2014 and contains more than one hundred thousand observations pertaining to the universe of municipalities in existence in this period. Using these data, I explain how I constructed variables to capture my quantities of interest and use those variables to conduct rigorous tests of Hypotheses 1 and 2, which pertain to the theory's expectations about resource allocations to municipalities within this subset of (tournament-possible) districts. These tests are rigorous because they take confounders seriously, pit the predictions of the tournament theory against those of rival theories, and are tailor-made to the specifics of the electoral system under which incumbents were competing. The results of these quantitative tests provide compelling evidence that LDP politicians in tournament-possible districts use tournaments to win elections.

In the second part of the chapter, I break down the theory's assumptions about LDP politicians, central government bureaucrats, and voters. I present evidence for these assumptions from the Japanese politics literature, anecdotes in the news media, interviews, data on the backgrounds of LDP politicians, and even popular fiction. This qualitative evidence further decreases the chance that the relationships between variables uncovered in the statistical analyses could be the product of a set of dynamics orthogonal to my theory.

In the third part of the chapter, I point out that my book is by no means the first to tackle the relationship between votes and money in Japan. Numerous studies have looked at this question; some with statistical analyses of the exact same data I use herein. Critically, these studies are notable for their *lack* of findings: They either found no clear relationship between votes and money in Japan, or a relationship that ran in the *opposite* direction than what we have been led us to expect (places delivering *fewer* votes for the LDP got *more* money). The absence of systematic evidence that LDP politicians tie money to votes has been hard to reconcile with qualitative evidence that paints a clear picture of LDP politicians spending a lot of time trying to secure funds for their constituents and using election campaigns to advertise their ability to do so. It suggests that while there might be a few bad apples, meaning LDP politicians who threaten to withhold resources from groups who fail to exhibit sufficient electoral loyalty, this is not a *systematic* component of the electoral strategies of LDP politicians. If this is the case, then we should be looking at *non*distributive explanations for the puzzle articulated in Chapter 2: the LDP's electoral success.

I explain that the tournament theory can account for why prior studies reached strikingly different conclusions about the relationship between money and votes in Japan. In a nutshell, tournaments are conducted by relatively autonomous LDP politicians, who face variation in the number

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and size of municipalities in their respective electoral districts. This creates variation across electoral districts in the total amount of money LDP politicians must offer to entice their municipalities to compete against each other. The LDP politicians facing a set of municipalities that are relatively evenly sized can realize competition with less (money) than their counterparts facing a set of municipalities that are unevenly sized. To uncover the relationship between money and votes, then, it is critical to compare the amount of support delivered and money received by municipalities in the same electoral district after the same election. This is a point not appreciated in prior work, which did not have the tournament theory upon which to draw.

I show that the robust relationship between money and votes documented in this chapter emerges only in regression specifications with district-year fixed effects, which limit the comparison to municipalities in the same district in the same election. When these fixed effects are not used, the relationship appears to run in the *opposite* direction. This result likely obtains because most Japanese municipalities are in electoral districts characterized by relatively evenly sized municipalities. These municipalities receive significantly *less* money than their counterparts in districts characterized by relatively *unevenly* sized municipalities for the same level of support. Thus, without district-year fixed effects, money and support can appear negatively correlated across municipalities. Critically, though, this is the outcome of numerous LDP politicians adjusting the contours of their tournaments to features of their districts, and *not* the outcome of a concerted party strategy of directing spending toward districts where the LDP does worse.

6.1 EMPIRICAL STRATEGY

Chapter 4 fleshed out the theoretical underpinnings of the hypotheses this book tests. To recap, Hypothesis 1 holds that if LDP politicians are administering tournaments between the municipalities in their electoral districts, then the amount of money municipalities receive after Lower House elections will be a function of their position in a rank ordering of municipalities in their electoral districts, constructed on the basis of the level of support the municipality provided the LDP incumbent in the most recent election. Hypothesis 2 holds that if LDP politicians are using tournaments, then the most money is expected to accrue to the municipality whose level of electoral support puts it in first place, after which the amounts awarded are expected to decline with rank, not in a linear fashion but in a convex fashion. This would be evidence that LDP politicians deliberately make the amounts of money being fought over larger

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at higher ranks. As I explained in Chapter 4, this is done to increase the influence of a single vote over the amount of money one's group receives and is a critical piece of evidence that distinguishes a tournament from alternative logics under which incumbents could be using money to buy support. For ease of access, here are these hypotheses again:

- **Hypothesis 1**: Within electoral districts, resource allocations are a function of a municipality's position in a rank ordering of municipalities, constructed on the basis of support for the LDP winner in the most recent election.
- **Hypothesis 2**: Within electoral districts, the impact of increases in rank on a municipality's postelection resource allocation increases as municipalities climb the ranks.

6.1.1 Data

To examine these, I put together a comprehensive new dataset on the universe of Japanese municipalities that existed in any form between 1980 and 2015.[1] The data is a panel and consists of yearly observations (where *t* indicates year) of municipalities (*m*). Because fiscal and other demographic variables pertain to the fiscal year, which runs from April 1 to March 31 in Japan, the unit of analysis in the dataset is municipality-fiscal year (with one exception, which is explained below). There were twelve Lower House elections held during this thirty-five–year period. In the fiscal years in which elections were held, distinct variables capture the electoral districts (*d*) municipalities are located in and record the numbers of votes cast for the candidates and parties competing therein.[2]

The process through which the data was assembled is described in the Appendix. Let me highlight four pertinent features of it here. One, as I explained in Chapter 5, Japanese municipalities can be cities, special wards, towns, or villages. There were around 3,300 municipalities in existence until the 2002–2005 period, after which a series of amalgamations whittled this number down to around 1,800. My data uses unique municipality codes to account for every single instance of a boundary change. Because a boundary change between two elections means that the pool of voters in municipality *m* in the second election is different from that in the first, we can reason that politicians will not treat these municipalities as identical and neither should we. Carefully recording each and every

[1] This is an expanded, cleaned up version of the data compiled for Catalinac, Bueno de Mesquita and Smith (2020).

[2] The 1990 Lower House election was held on February 18, so is recorded as happening during the 1989 fiscal year.

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boundary change allows us to study what happens to resource allocations when the exact same municipality increases or decreases its support for the LDP incumbent.

Two, in the five Lower House elections held under the old electoral system (in 1980, 1983, 1986, 1990, and 1993, respectively), between 129 and 130 multimember electoral districts (MMDs) were used. As Chapter 2 explains, these districts collectively elected between 511 and 512 Lower House members, with districts selecting between one and six members. In 1994, a mixed-member electoral system was introduced, under which a share of members are elected via first-past-the-post in single-member districts (SMDs) and another share via votes cast for their parties in eleven regional blocs according to closed-list proportional representation. In the first six Lower House elections held under the new system (in 1996, 2000, 2003, 2005, 2009, and 2012, respectively), 300 Members were elected from 300 SMDs. In the seventh election (in 2014), the number of SMDs was reduced to 295. The number of Members elected via proportional representation was 200 in the 1996 election, after which it reduced to 180 prior to the 2000 election. It was reduced further, to 176, prior to the 2017 election.

Three, as Chapter 5 explains, the vast majority of Japan's municipalities are perfectly nested within a single electoral district. Concretely, in the five elections held under the old electoral system (1980–1993), a maximum of four municipalities (out of more than 3,300) straddled more than one district.[3] After electoral reform, the number of split municipalities increased but remains low as a share of the total number of municipalities.[4] Municipalities perfectly contained within a single district appear once in the dataset for every year they exist. Because municipalities straddling more than one district have sections of themselves in different districts, they appear *n* times in the dataset in election years, with *n* capturing the number of distinct electoral districts they are located in.

Critically, as Chapter 5 explains, for municipalities straddling more than one district, we can observe voting behavior for the section of the municipality in each district, but we cannot observe fiscal or demographic data at this level. Nonvoting variables are measured at the level of the municipality as a whole. This means that an LDP politician with a split municipality in her district can observe how much *support* this section

[3] These were Koriyama City in Fukushima prefecture, Chiba City's Midori Ward, and Okayama City. In the 1990 election, Osaka's Chuo Ward was a fourth.

[4] The number of split municipalities increased to fifteen in the 1996 and 2000 elections, seventeen in the 2003 election, fifty-one in the 2005 election, eighty-five in the 2009 election, eighty-eight in the 2012 election, and eighty-five in 2014.

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of the municipality gave her but do not possess the same degree of influence over the amount of *money* voters in this section receive. This LDP politician could lobby for money for the municipality as a whole but cannot guarantee that it will be spent in *her* section of the municipality. For this reason, we assume that LDP politicians focus their attention on the *nonsplit* municipalities within their districts. To this end, we drop split municipalities from the data prior to the creation of the variables used in the below empirical analyses. These variables are thus constructed with municipalities that are perfectly contained within a single district.

Four, as Chapter 5 explains, the fiscal transfers I am interested in are national treasury disbursements (NTD). For annual allocations of NTD, I rely on data made available after the conclusion of the fiscal year, which records the total amount of funds municipality m received in this category during fiscal year t. As such, my data is not the amount of NTD *promised* to municipality m, nor the amount of NTD the government *planned* to send to municipality m, but the amount of NTD municipality m received from the central government during fiscal year t.

6.1.2 Variables

With this data, I constructed four electoral support variables.[5] These capture, in slightly different ways, the level of electoral support municipality m supplied to its LDP incumbent(s) in a Lower House election held at t. Let $n_{d,t}$ capture the number of municipalities in electoral district d in year t.[6] Let $v_{c,m,t}$ represent the number of votes obtained by candidate c in municipality m at time t. This is available for $t \in E = \{e_1, e_2, ...\} = \{1980, 1983, ...\}$, the years in which Lower House elections were held. Let $p_{m,t}$ represent the voting population in municipality m at time t (the number of eligible voters). Thus, $VS_{c,m,t} = \frac{v_{c,m,t}}{p_{m,t}}$ is the number of votes captured by candidate c in municipality m at time t, divided by the number of eligible voters in municipality m at time t. Several indicator functions can also be defined: $w_{c,t}$ indicates whether candidate c won a seat in district d at time t, and $LDP_{c,t}$ indicates whether candidate c was a member of the LDP at time t.

First, I calculate:

$$\text{Best LDP VS}_{m,t} = max_{c \in m}\{LDP_{c,t} w_{c,t} VS_{c,m,t}\} \tag{6.1}$$

[5] Where possible, I use the variable operationalizations in Catalinac, Bueno de Mesquita and Smith (2020).

[6] The average electoral district prior to 1994 contained twenty-six municipalities. Between 1994 and the 2001–2005 period, the average district contained twelve municipalities. Since 2005, it has contained seven municipalities.

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This takes the $VS_{c,m,t}$ scores of the universe of LDP winners in district d at time t, and for each municipality, records the maximum. Intuitively, this variable captures the level of electoral support the municipality gave to the LDP winner it supported the most. As an illustration, if there were three LDP winners in district d at time t and they captured 0.6, 0.1, and 0.05 of the available votes in municipality m, respectively, then municipality m's Best LDP $\text{VS}_{m,t}$ score would be the maximum of these, or 0.6. Second, I calculate:

$$\text{Sum LDP VS}_{m,t} = \sum_{c \in m} \{LDP_{c,t} w_{c,t} VS_{c,m,t}\} \tag{6.2}$$

This takes the $VS_{c,m,t}$ scores of the universe of LDP winners in district d at time t, and for each municipality, takes the sum of these scores. Intuitively, this variable captures how supportive the municipality was for *all* the LDP winners in its electoral district. Continuing with the above example, if there were three LDP winners in district d at time t and they captured 0.6, 0.1, and 0.05 of the available votes in municipality m, then municipality m's Sum LDP $\text{VS}_{m,t}$ score would be the sum of these, or 0.75. When a district has a single LDP winner, Best LDP $\text{VS}_{m,t}$ and Sum LDP $\text{VS}_{m,t}$ are identical. Thus, my analyses of the Lower House elections *after* Japan's 1994 electoral reform use Sum LDP $\text{VS}_{m,t}$ only.

While Best LDP $\text{VS}_{m,t}$ and Sum LDP $\text{VS}_{m,t}$ are indicators of the absolute level of support for the LDP in municipality m, the tournament theory emphasizes the importance of a municipality's relative *rank* in its electoral district. Thus, I also construct ranked versions of these electoral support variables. To do this, I first identify district-years with LDP winners, in which at least one of the LDP candidates competing in the district emerged victorious. For each of these district-years, I took the Best LDP $\text{VS}_{m,t}$ scores of all the municipalities therein and ranked them, so that the lowest-ranked municipality received 0 and the highest-ranked municipality received one less than the total number of municipalities in the district (in other words, $n_{d,t} - 1$). If there were sixteen municipalities in a given district-year, the lowest-ranked (least supportive) municipality receives 0, while the highest-ranked (most supportive) municipality receives 15.

Then, dividing each municipality's number on this ranking by the total number of municipalities in its district-year minus 1 ($n_{d,t} - 1$) has the effect of standardizing the index across district-years. The result is that in every district-year, the municipality supplying the *lowest* level of electoral support for the district's LDP winner(s) (with the lowest Best LDP $\text{VS}_{m,t}$ score) received 0 and the municipality supplying the *highest* level of electoral support (with the highest Best LDP $\text{VS}_{m,t}$ score) received 1.

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I then did the same for Sum LDP $VS_{m,t}$. These calculations leave me with ranked versions of the two electoral support variables, which I refer to as Rank (Best LDP $VS_{m,t}$) and Rank (Sum LDP $VS_{m,t}$), respectively.

Next, I constructed my dependent variable: Postelection Per Capita Transfers (log). This is the total amount of NTD received by municipality *m* in the fiscal year following each Lower House election, divided by population in municipality *m*, and logged. I also construct Log($Transfers_{m,t}$), which is the lagged dependent variable. This is the total amount of NTD received by municipality *m* in fiscal years in which Lower House elections were held, divided by the population in municipality *m*, and logged. Specifications with the lagged dependent variable help isolate the impact of a municipality's behavior in the election held at *t*, by guarding against the possibility that postelection resource allocations are explained by features of the municipality present before the election.

6.2 WITHIN DISTRICTS, MONEY FOLLOWS SUPPORT

Is the amount of money municipalities receive after Lower House elections a function of their position in a rank ordering of municipalities in their district, constructed on the basis of the share of eligible voters in the municipality who voted for the LDP politician? This is Hypothesis 1. To answer this question, I conduct a series of fixed effect regressions on observations from Lower House elections held in the 1980–2014 period, excluding the 2009 election.[7]

Before doing so, let me make three points about the sample. One, my analyses begin in 1980 and end in 2014 because of data availability: putting together historical data on Japanese municipalities from scratch is an arduous task, which made it difficult to go back further than 1980. Furthermore, when I began the project, fiscal data for the years following the 2017 and 2021 Lower House elections was not available, which is why my analyses end in 2014. I exclude 2009 because the LDP lost the 2009 election, which meant it did not control government during the fiscal year following this election (2010). While the LDP was also deprived of its majority in the 1993 election, it managed to put itself back in the saddle the following June, a mere three months into fiscal year 1994. Thus, LDP politicians spent most of fiscal year 1994 *in* government, whereas they spent the entirety of the 2010 fiscal year *out* of government.[8]

[7] The empirical tests in this chapter were inspired by those in Catalinac, Bueno de Mesquita and Smith (2020).

[8] As a reminder, my data on NTD allocations capture the amounts *delivered* to municipalities during a given fiscal year, not the amounts *promised* to municipalities

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Two, my electoral support variables were constructed after having dropped the small share of municipalities whose area straddles more than one electoral district. Thus, these (split) municipalities are not the subject of the following analyses. Three, in Chapter 5, I explained that in Japan's Lower House elections, tournament-possible electoral districts co-exist with tournament-impossible districts. Tournament-impossible districts are districts comprised of a single municipality, districts with large chunks of voters residing in municipalities whose area is not perfectly contained within the district, and districts located in ordinance-designated cities. The following analyses focus on discerning whether tournaments are occurring in tournament-possible districts. Correspondingly, the sample is limited to nonsplit municipalities in tournament-possible districts.

Table 6.1 presents fixed effect regression models for the logarithm of per capita transfers received by municipalities in the years following the eleven Lower House elections held between 1980 and 2014 as a function of my four independent variables of interest, prior transfers, and other controls.[9] The dependent variable is Postelection Per Capita Transfers (log). My independent variables are Best LDP $VS_{m,t}$ (Model 1), Rank (Best LDP $VS_{m,t}$) (Model 2), Sum LDP $VS_{m,t}$ (Model 3), and Rank (Sum LDP $VS_{m,t}$) (Model 4), respectively. All specifications control for prior transfers, captured with the logarithm of per capita transfers received by the municipality the year of the Lower House election. All specifications also control for six time-varying features of municipalities that could influence the relationship between voting and transfers. These are the municipality's population, per capita income, population density, fiscal strength, the proportion of residents employed in primary industries, and the proportion of residents aged fifteen and under and sixty-five and over, respectively.[10]

All specifications use district-year fixed effects. This controls for features of district d at time t that could be influencing the transfers received

(which could have been decided upon the year prior). An assumption I make is that LDP politicians can influence NTD allocations to municipalities within a given fiscal year. This assumption is also made by others (e.g., Hirano 2011, 1086). In Japan, the government's budget must be approved prior to the start of a fiscal year, but governments can (and regularly do) enact supplementary budgets, which authorize new spending. In an interview with a former House of Councilors member from the Komeito, I was told that spending for a given locale can be inserted into supplementary budgets (Interview, Tokyo, Japan, December 13, 2023.)

[9] Descriptive statistics pertaining to the variables used in these regressions appears in Table A.1.

[10] I use the log of population and per capita income. Population density is created by dividing the municipality's population by its size (kilometers squared). Following Catalinac, Bueno de Mesquita and Smith (2020), I scaled it so that the variable captures the number of *thousands* of people per square kilometer.

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Table 6.1 *Within electoral districts, municipalities exhibiting higher levels of support for their district's LDP winner(s) in Lower House elections received more per capita transfers after the election, 1980–2014.*

	Dependent variable: Postelection Transfers (log)			
	(Model 1)	(Model 2)	(Model 3)	(Model 4)
Best LDP $VS_{m,t}$	0.160***			
	(0.034)			
Rank (Best LDP $VS_{m,t}$)		0.029**		
		(0.010)		
Sum LDP $VS_{m,t}$			0.152***	
			(0.034)	
Rank (Sum LDP $VS_{m,t}$)				0.031**
				(0.011)
Log($Transfers_{m,t}$)	0.720***	0.722***	0.720***	0.722***
	(0.008)	(0.008)	(0.008)	(0.008)
Fiscal $Strength_{m,t}$	0.090***	0.087**	0.091***	0.088**
	(0.025)	(0.028)	(0.024)	(0.028)
Dependent $Population_{m,t}$	0.822***	0.761***	0.840***	0.768***
	(0.138)	(0.145)	(0.138)	(0.145)
Farming $Population_{m,t}$	−0.102	−0.087	−0.109	−0.093
	(0.082)	(0.094)	(0.082)	(0.095)
Log($Population_{m,t}$)	−0.009	−0.011*	−0.008	−0.010
	(0.005)	(0.005)	(0.005)	(0.005)
Log(Per Capita $Income_{m,t}$)	−0.071*	−0.076*	−0.069*	−0.075*
	(0.032)	(0.035)	(0.032)	(0.035)
Population $Density_{m,t}$	0.007*	0.008*	0.007*	0.008*
	(0.004)	(0.004)	(0.004)	(0.004)
Observations	27,225	23,909	27,225	23,909
District-year FE	Y	Y	Y	Y
R^2	0.538	0.537	0.538	0.537

Robust standard errors clustered on municipality in parentheses.
$^{*}p < 0.05$, $^{**}p < 0.01$, $^{***}p < 0.001$.
Regression models estimated with R's plm() package.

by all municipalities in that district. For example, a district-year might see the victory of an exceptionally well-connected or competent LDP politician. As I explained above, the tournament theory expects that the total amount of money needed to realize competition among municipalities differs by electoral district, making this a critical part of our empirical strategy. A district-year fixed effect effectively enables us to look *within* district-years, to see whether the hypothesis that municipalities returning higher levels of electoral support for the LDP relative to their same-district counterparts receive more per capita transfers after

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the election is supported. For each specification, I report robust standard errors clustered on municipality.

As a reminder, municipalities in districts without any LDP winner receive zero on Best LDP $VS_{m,t}$ and Sum LDP $VS_{m,t}$. Our use of district-year fixed effects means that these observations drop out of the regressions because municipalities in district-years without LDP winners have identical scores on these support variables. This means that our estimates of the impact of electoral support are derived solely from municipalities in districts with at least one LDP winner. In contrast, municipalities receiving zero on Rank (Best LDP $VS_{m,t}$) and Rank (Sum LDP $VS_{m,t}$) are not municipalities in districts without LDP winners, but municipalities who ranked *last in electoral loyalty* for their LDP winner. As such, the number of observations differs across the models in Table 6.1. Models 2 and 4 have fewer observations than Models 1 and 3 because municipalities in districts without a single LDP winner receive NA on Rank (Best LDP $VS_{m,t}$) and Rank (Sum LDP $VS_{m,t}$), respectively.

The positive, significant coefficients on all the support variables indicate that within district-years, controlling for other time-varying features of municipalities, higher levels of support for winning LDP candidates translated into significantly more transfers in the year after the election. The coefficients on the variables measuring prior transfers are also positive and highly statistically significant. This makes sense if we consider first that the amount of transfers a municipality received in previous years would have been influenced by previous levels of electoral support, and second, that voting behavior can be relatively sticky. In addition, within district-years, municipalities with larger proportions of their population who are dependent tend to receive more transfers, as do municipalities whose fiscal situations are sound and which have higher population density. In contrast, municipalities with higher-than-average per capita income and a larger population tend to receive fewer transfers.

What does this mean in substantive terms? Importantly, the coefficients in these models capture the *average* effect of a given increase in support, no matter *where* in the distribution of support it takes place. As Chapter 4 explains, the tournament theory expects that increases in support at the top of the ranking will translate into much larger (indeed, exponentially larger) increases in transfers than the same increase at the middle or bottom of the ranking. Put simply, a municipality ranking second in support will be rewarded with a much larger payoff for a one-rank increase (putting it in first place), than a municipality ranking seventh would receive for the same one-rank increase (putting it in sixth place). This convexity is examined in more detail below. For readers interested in the average effect of increases in support, even though this is less informative,

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Model 1 in Table 6.1 tells us that a one-standard-deviation increase in Best LDP $VS_{m,t}$ is expected to net a municipality a 2.61% increase in per capita postelection transfers. Given that the mean postelection per capita transfer in this sample was 29,705 yen, this amounts to a per person increase of 776 yen. The average municipality in this sample has 13,663 people, which translates into an increase of 10,601,462 yen (approx. $68,064 USD at today's exchange rate).[11]

6.2.1 *Before Electoral Reform, 1980–1993*

Next, to increase confidence in these findings, I divide the data into elections held under the old electoral system (pre-1993) and elections held under the new (post-1994). This allows me to craft nuanced tests of Hypothesis 1, which are tailor-made to the specifics of each period. In the Lower House elections held between 1980 and 1994, I have a set of approximately 3,300 municipalities whose borders were stable *and* which were located in a relatively small number of electoral districts, whose borders were also stable. I can take advantage of these features of this period in two ways: first, by conducting what I call a "snapshot regression." This looks within district-years and ascertains whether, after controlling for the possibility that underlying differences between municipalities are driving any observed relationship between electoral support and transfers, municipalities exhibiting higher levels of support receive more postelection transfers.

Table 6.2 presents the results of the same four regression specifications in Table 6.1, but with the addition of municipality fixed effects and with the sample limited to observations in the 1980–1993 period. The purpose of a municipality fixed effect is to control for time-*invariant* features of municipality *m* that might be influencing both its voting behavior and the amount of transfers it receives. It is conceivable that certain municipalities

[11] Could the relationship between money and votes depicted in Table 6.1 be due to the inclusion of districts with dominant municipalities, defined as those with 80% or more residents in a single one? Of the 1,724 tournament-possible districts in this sample, only 113 (6.6%) have a dominant municipality. Rerunning the models in Table 6.1 after removing observations in dominant-municipality districts yields results that are similar in both substance and statistical significance. In Chapter 4, I offered reasons why politicians in dominant-municipality districts would not concentrate their vote-gathering on these dominant municipalities, even though they have more voters. This is because in doing so, the politician runs the risk of reducing the incentives of *all* voters, in both dominant and nondominant municipalities, to vote for them. While further work is needed, preliminary analyses shows that the largest municipality in dominant-municipality districts delivers a level of support that is similar to that provided by the largest municipality in *non*dominant-municipality districts but receives more money for this support. Thus, resource allocations do appear to be different in dominant-municipality districts.

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Table 6.2 *Within electoral districts, municipalities exhibiting higher levels of support for their district's LDP winner(s) in Lower House elections received more per capita transfers after the election, 1980–1993.*

	Dependent variable: Postelection Transfers (log)			
	(Model 1)	(Model 2)	(Model 3)	(Model 4)
Best LDP $VS_{m,t}$	0.162**			
	(0.051)			
Rank (Best LDP $VS_{m,t}$)		0.041*		
		(0.016)		
Sum LDP $VS_{m,t}$			0.163***	
			(0.047)	
Rank (Sum LDP $VS_{m,t}$)				0.055**
				(0.017)
Log($Transfers_{m,t}$)	0.435***	0.436***	0.435***	0.436***
	(0.012)	(0.012)	(0.012)	(0.012)
Fiscal $Strength_{m,t}$	−0.011	−0.020	−0.012	−0.020
	(0.075)	(0.076)	(0.075)	(0.076)
Dependent $Population_{m,t}$	0.689*	0.593	0.698*	0.593
	(0.334)	(0.331)	(0.334)	(0.330)
Farming $Population_{m,t}$	−0.567	−0.619	−0.556	−0.615
	(0.328)	(0.329)	(0.326)	(0.328)
Log($Population_{m,t}$)	−0.515***	−0.520***	−0.511***	−0.517***
	(0.116)	(0.116)	(0.116)	(0.116)
Log(Per Capita $Income_{m,t}$)	0.027	0.024	0.030	0.027
	(0.071)	(0.072)	(0.071)	(0.072)
Population $Density_{m,t}$	0.026	0.032	0.025	0.032
	(0.075)	(0.077)	(0.074)	(0.077)
Observations	15,526	15,416	15,526	15,416
District-year FE	Y	Y	Y	Y
Municipality FE	Y	Y	Y	Y
R^2	0.205	0.205	0.205	0.206

Robust standard errors clustered on municipality in parentheses.
$^{*}p < 0.05$, $^{**}p < 0.01$, $^{***}p < 0.001$.
Regression models estimated with R's plm() package.

might be better at coming up with projects likely to attract central government funding or building a consensus in their community about the need for those projects. They might have local politicians who are better able to elicit the help of their LDP-affiliated Diet representatives. A municipality fixed effect takes care of the possibility that systematic differences of this nature between the municipalities in a given district-year could be driving any observed effect of electoral support on transfers.[12]

[12] Note that municipalities were placed in new electoral districts in 1994 and changed their borders or experienced neighboring municipalities in the same district change

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In specifications with municipality fixed effects, the effects of time-varying municipality-level variables such as electoral support can be estimated separately from the municipality fixed effect only when they exhibit sufficient over-time variation. When municipalities have the same or very-similar values on a variable over time, this variable could be influencing postelection transfer allocations, but the lack of over-time variation means that its effect would be subsumed by the municipality fixed effect. Table 6.2 nevertheless reveals that the coefficients on the four electoral support variables are positive and statistically significant, even with municipality fixed effects. This means that, controlling for idiosyncratic features of municipalities that could have consequences for voting and transfers, as well as features of the district-years that municipalities are part of, higher levels of support for winning LDP candidates in elections in the 1980–1993 period translated into larger per capita transfer allocations after these elections. Other time-varying features of municipalities found to influence transfer allocations are prior transfers, the proportion of a municipality's population that is dependent (though not in Models 2 and 4), and population.

A second way I can take advantage of the stability in municipality and district boundaries in this period is by conducting a "first-difference regression." This takes advantage of the fact that municipalities are in the same electoral districts over time, which means they face the same set of competitors in the tournament, election after election. Unlike a snapshot regression, which looks within district-years, leveraging variation in the degree of support between municipalities in the same district-year, a first-difference regression looks within *municipalities*, leveraging variation in the degree to which the same municipality supported the LDP over time. If, controlling for changes in other time-varying municipality-level features, such as population, as well as features of a municipality's district-year that likely influence the amounts of transfers received by all municipalities, municipalities that increase their support for the LDP between two elections are found to receive larger transfer allocations after the second election, this would further bolster confidence in these results.

Table 6.3 examines the effect of changes in support between two consecutive elections on change in the amount of per capita transfers received in the years following those elections for municipalities in the 1980–1993 period. Because my data begins in 1980, the 1983 election is the first election for which I can compute change variables (I call these Δ

their borders between 2002 and 2005. The magnitude of these changes mean that municipality fixed effects make less sense in the above analyses, which examined observations from the full period.

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Table 6.3 *Increases in support between two consecutive elections in the same municipality translate into increases in the amount of per capita transfers received after the election, 1980–1993.*

	Dependent variable: Δ Postelection Transfers (log)			
	(Model 1)	(Model 2)	(Model 3)	(Model 4)
Δ Best LDP $VS_{m,t}$	0.180**			
	(0.067)			
Δ Rank (Best LDP $VS_{m,t}$)		0.052*		
		(0.022)		
Δ Sum LDP $VS_{m,t}$			0.195**	
			(0.061)	
Δ Rank (Sum LDP $VS_{m,t}$)				0.071**
				(0.023)
Δ Fiscal $Strength_{m,t}$	−0.045	−0.049	−0.040	−0.046
	(0.087)	(0.088)	(0.087)	(0.088)
Δ Dependent $Population_{m,t}$	0.977	0.907	0.995	0.919
	(0.752)	(0.757)	(0.753)	(0.756)
Δ Farming $Population_{m,t}$	−0.476	−0.451	−0.460	−0.449
	(0.614)	(0.614)	(0.612)	(0.613)
Δ Log($Population_{m,t}$)	−1.228***	−1.170**	−1.217**	−1.164**
	(0.371)	(0.371)	(0.371)	(0.371)
Δ Log(Per Capita $Income_{m,t}$)	−0.071	−0.041	−0.068	−0.039
	(0.128)	(0.133)	(0.128)	(0.132)
Δ Population $Density_{m,t}$	0.583*	0.540*	0.581*	0.536*
	(0.259)	(0.272)	(0.260)	(0.272)
Observations	12,393	12,224	12,393	12,224
Municipality FE	Y	Y	Y	Y
District-year FE	Y	Y	Y	Y
R^2	0.003	0.002	0.003	0.003

Robust standard errors clustered on municipality in parentheses.
$^{*}p < 0.05$, $^{**}p < 0.01$, $^{***}p < 0.001$.
Regression models estimated with R's plm() package.

variables). Thus, the sample is municipalities in the 1983, 1986, 1990, and 1993 elections. In all four specifications, the dependent variable is ΔLog(Transfer), which is the municipality's per capita transfer allocation in the year following the Lower House election, minus its per capita transfer allocation in the year following the previous Lower House election (in logs). In Model 1, Δ Best LDP VS_m is the municipality's Best LDP $VS_{m,t}$ in the Lower House election, minus its Best LDP $VS_{m,t}$ in the previous Lower House election. Model 2 uses Δ Rank(Best LDP VS)$_m$, Model 3 uses Δ Sum LDP VS_m, and Model 4 uses Δ Rank(Sum LDP VS)$_m$, all constructed analogously.

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In all four specifications, I control for changes in the six time-varying municipality-level variables, constructing analogous Δ variables for each. I also use municipality fixed effects, which control for time-invariant features of a municipality that could plausibly be correlated with changes in support and transfers, and district-year fixed effects, which control for the possibility that systematic differences between district-years in the second election could influence the degree to which transfers to all municipalities in the district changed relative to the previous election. Because municipalities are located in the same districts in this period, any change in district-level features that have consequences for transfers, such as the victory of a particularly competent LDP politician or an increase in number of LDP winners, will act on all municipalities in that district simultaneously. This means that all district-level changes of this type are accounted for with district-year fixed effects.

In all four models in Table 6.3, the coefficients on the Δ electoral support variables are positive and statistically significant. Models 1 and 3 show that municipalities that managed to increase their absolute level of support between two elections, measured with votes for a single LDP winner (Model 1) or votes for all LDP winners (Model 3), received more transfers after the second election. Models 2 and 4 show that municipalities that managed to increase their position in a rank ordering of municipalities in their district, constructed on the basis of electoral support for a single LDP winner (Model 2) or all LDP winners (Model 4), also received more transfers after the second election. By extension, of course, this means that municipalities that *decreased* their absolute level of support between two elections, or let their ranking *slip* between the two elections, are penalized with smaller transfer allocations after the second election. The results of both the snapshot regressions, which leveraged variation in support across municipalities in the same district-year, and first-difference regressions, which leveraged variation in support within the same municipality over time, lend strong support to my hypothesis.

6.2.2 *Competing Explanations and Placebo Tests, 1980–1993*

This section reports the results of tests that pit the predictions of the tournament theory against those of rival theories. First, prior to Japan's 1994 electoral reform, districts were multimember, which means they usually sent more than one LDP winner to the Diet. A rival theory might hold that the most *powerful* LDP politician in the district has a stranglehold over transfers. If so, where municipalities placed in a ranking constructed on the basis of electoral support for *this* LDP winner, not *any* LDP winner,

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could be a more powerful determinant of how much money it receives after the relevant election.

To evaluate this, I ran the same four specifications in Table 6.2 with a control for the $VS_{c,m,t}$ (vote share) captured by the LDP's highest place-getter in the district, High LDP $VS_{m,t}$.[13] The results appear in Table A.2. The coefficient on High LDP $VS_{m,t}$ is statistically insignificant in all four models, while our four variables of interest, Best LDP $VS_{m,t}$, Rank(Best LDP $VS_{m,t}$), Sum LDP $VS_{m,t}$, and Rank(Sum LDP $VS_{m,t}$), remain positive and statistically significant. Thus, my results cannot be explained by this rival theory.

Second, another rival theory might hold that *senior* LDP politicians are the only members of the ruling party with enough clout to be able to influence transfer allocations to the municipalities in their districts. To evaluate this, I constructed versions of the four support variables using votes cast for *senior* LDP winners only (not all LDP winners), defined as those who have served at least four prior terms.[14] Concretely, let $Sen_{c,t}$ indicate whether candidate c was a senior politician. I constructed the following:

$$\text{Best Senior LDP VS}_{m,t} = max_{c \in m}\{Sen_{c,t} LDP_{c,t} w_{c,t} VS_{c,m,t}\} \tag{6.3}$$

$$\text{Sum Senior LDP VS}_{m,t} = \sum_{c \in m}\{Sen_{c,t} LDP_{c,t} w_{c,t} VS_{c,m,t}\} \tag{6.4}$$

Intuitively, Best Senior LDP $VS_{m,t}$ captures the level of electoral support the municipality gave to the senior LDP winner it gave the highest level of support to, while Sum Senior LDP $VS_{m,t}$ captures how supportive the municipality was for all LDP senior winners in the district.

In Table 6.4, Model 1 pits this rival theory against the tournament theory, by including both Best LDP $VS_{m,t}$ and Best Senior LDP $VS_{m,t}$ as independent variables. The specification is otherwise identical to that presented in Model 1 of Table 6.2 (thus, it includes time-varying municipality-level controls, district-year fixed effects, municipality fixed effects, and limits the sample to elections in the 1980–1993 period). The coefficient on Best Senior LDP $VS_{m,t}$ is positive but not statistically significant, while the coefficient on Best LDP $VS_{m,t}$ remains positive and

[13] Concretely, in district-years with LDP winners, I identified the LDP winner who won the most votes. Then, for each municipality in that district-year, I recorded the share of eligible voters who had voted for this LDP winner.

[14] Krauss and Pekkanen (2010, 157) explain that LDP politicians begin receiving leadership posts in their fifth terms.

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Table 6.4 *Within electoral districts, transfers to municipalities are not determined by support for senior LDP winners, non-LDP winners, or losing LDP candidates, 1980–1993. But independent winners who join the LDP after elections distribute transfers according to a similar logic as LDP winners.*

	Dependent variable: Postelection Transfers (log)			
	(Model 1)	(Model 2)	(Model 3)	(Model 4)
Best LDP $VS_{m,t}$	0.145**			
	(0.053)			
Best Senior LDP $VS_{m,t}$	0.040			
	(0.050)			
Best LDP+ $VS_{m,t}$		0.196***		
		(0.053)		
Best Non-LDP $VS_{m,t}$			0.035	
			(0.064)	
Best Losing LDP $VS_{m,t}$				−0.255***
				(0.061)
Log($Transfers_{m,t}$)	0.435***	0.436***	0.436***	0.435***
	(0.012)	(0.012)	(0.012)	(0.012)
Fiscal $Strength_{m,t}$	−0.011	−0.011	−0.014	−0.011
	(0.075)	(0.075)	(0.075)	(0.075)
Dependent $Population_{m,t}$	0.686*	0.682*	0.693*	0.700*
	(0.334)	(0.334)	(0.333)	(0.332)
Farming $Population_{m,t}$	−0.568	−0.561	−0.589	−0.567
	(0.328)	(0.327)	(0.328)	(0.326)
Log($Population_{m,t}$)	−0.516***	−0.515***	−0.526***	−0.529***
	(0.116)	(0.116)	(0.116)	(0.117)
Log(Per Capita $Income_{m,t}$)	0.027	0.028	0.020	0.026
	(0.071)	(0.071)	(0.071)	(0.071)
Population $Density_{m,t}$	0.026	0.025	0.029	0.027
	(0.075)	(0.075)	(0.075)	(0.074)
Observations	15,526	15,526	15,526	15,526
District-year FE	Y	Y	Y	Y
Municipality FE	Y	Y	Y	Y
R^2	0.205	0.205	0.205	0.206

Robust standard errors clustered on municipality in parentheses.
$^{*}p < 0.05$, $^{**}p < 0.01$, $^{***}p < 0.001$.
Regression models estimated with R's plm() package.

statistically significant. Thus, there is little evidence to suggest that it is the level of electoral support municipalities supply to senior LDP politicians that determines the amount of transfers they receive.[15]

[15] In Model 1 of Table A.3, I conduct the same test with Sum Senior LDP $VS_{m,t}$ instead of Best Senior LDP $VS_{m,t}$ and find that the results are substantively similar.

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Third, a different way to build confidence in the theory is to deduce additional observable implications about what we would observe under a tournament and evaluate those. Given what we know about the internal workings of the LDP in this period, we have reason to believe that conservative-aligned independents who were admitted into the LDP after winning an election would have also been able to lobby central government bureaucrats such that NTD allocations could be calibrated to municipalities on the basis of electoral support, just like their counterparts who had obtained the party's endorsement prior to the election. In many cases, these conservative candidates were campaigning with the backing of an LDP faction that was not currently endorsing an LDP candidate in that district (Reed 2009). Given that senior faction members tend to help junior faction members with introductions to bureaucrats, it is reasonable to assume that if LDP-aligned independents were in a faction, they would have been able to elicit the help of senior faction leaders.

To test this, let $\text{LDP+}_{c,t}$ indicate whether candidate c was a member of the LDP at the time of the election *or* was a conservative-aligned independent who was permitted to join the LDP after the election. I constructed:

$$\text{Best LDP+ VS}_{m,t} = max_{c \in m}\{LDP +_{c,t} w_{c,t} VS_{c,m,t}\} \tag{6.5}$$

$$\text{Sum LDP+ VS}_{m,t} = \sum_{c \in m}\{LDP +_{c,t} w_{c,t} VS_{c,m,t}\} \tag{6.6}$$

Intuitively, Best LDP+ $\text{VS}_{m,t}$ captures the level of electoral support the municipality gave to the LDP winner it supported the most, where LDP winner is defined more expansively to include independents who were permitted to join the party after the election. Similarly, Sum LDP+ $\text{VS}_{m,t}$ captures how supportive the municipality was for all LDP winners in the district, where LDP winner is defined in this more expansive way.

In Table 6.4, Model 2 examines the effect of Best LDP+ $\text{VS}_{m,t}$ on transfers. The specification is identical to that of Model 1 of Table 6.2 but with Best LDP+ $\text{VS}_{m,t}$ instead of Best LDP $\text{VS}_{m,t}$. The coefficient on Best LDP+ $\text{VS}_{m,t}$ is positive and statistically significant. This shows that winning candidates who joined the LDP after the election also had access to transfers such that they were able to dole out prizes to municipalities in accordance with their level of support.[16]

[16] In Model 2 of Table A.3, I conduct these same tests with Sum LDP+ $\text{VS}_{m,t}$ and find that the results are substantively similar.

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Fourth, the tournament theory holds that it is *winning LDP* candidates who will be able to convert voting into a competition over which municipality is the most electorally supportive. By making it clear that resources after the election are contingent on levels of support delivered in the election, LDP candidates who look like they are going to win the election will be able to motivate voters in supportive municipalities to actively compete for first place. In the eyes of voters, being a member of the party controlling the purse strings makes these promises significantly more credible. By extension, it is not winning candidates affiliated with *other parties*. Nor is it LDP candidates who *lost* the election. Thus, if the tournament theory is correct, we would not observe municipalities ranking highly in support of *non*-LDP candidates being rewarded with more money after the election. Nor would we observe municipalities ranking highly in support of *losing* LDP candidates being rewarded with more money. To evaluate this, we constructed:

$$\text{Best Non-LDP VS}_{m,t} = max_{c \in m}\{(1 - LDP_{c,t})w_{c,t}VS_{c,m,t}\} \tag{6.7}$$

$$\text{Sum Non-LDP VS}_{m,t} = \sum_{c \in m}\{(1 - LDP_{c,t})w_{c,t}VS_{c,m,t}\} \tag{6.8}$$

Intuitively, Best Non-LDP $\text{VS}_{m,t}$ is the level of electoral support the municipality gave to the non-LDP winner it supported the most, while Sum Non-LDP $\text{VS}_{m,t}$ captures how supportive the municipality was for all non-LDP winners in the district. Next, I constructed:

$$\text{Best Losing LDP VS}_{m,t} = max_{c \in m}\{LDP_{c,t}(1 - w_{c,t})VS_{c,m,t}\} \tag{6.9}$$

$$\text{Sum Losing LDP VS}_{m,t} = \sum_{c \in m}\{LDP_{c,t}(1 - w_{c,t})VS_{c,m,t}\} \tag{6.10}$$

Intuitively, Best Losing LDP $\text{VS}_{m,t}$ is the level of electoral support the municipality gave to the LDP loser it supported the most, while Sum Losing LDP $\text{VS}_{m,t}$ captures how supportive the municipality was for all losing LDP candidates.

In Table 6.4, Model 3 examines the effect of Best Non-LDP $\text{VS}_{m,t}$ on transfers after the election. The coefficient is not statistically significant, which means that municipalities scoring highly in support of non-LDP politicians did not receive more money after elections. Model 4 examines the effect of Best Losing LDP $\text{VS}_{m,t}$. The coefficient is negative and statistically significant. This means that scoring highly in support of a losing LDP candidate is associated with receiving less money after the election. To the extent that concentrating one's support on a losing LDP candidate means that a municipality has forgone the opportunity to concentrate its support on a winning LDP candidate, it is unsurprising that we observe this negative relationship. Because winning LDP candidates

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reward municipalities in their districts on the basis of support, municipalities scoring low in support for winning candidates will, on average, receive less money.[17]

Fifth, the Japanese politics literature provides ample evidence that incumbents have preexisting ties to select municipalities in their electoral districts, on account of the fact that the municipality is their hometown or has a concentration of voters in certain occupations who support the LDP (Hirano 2006; Curtis 1971). In the presence of such ties, these municipalities may consistently return high levels of support for their LDP incumbents *and* receive larger transfer allocations, but it is possible that this is because of their special relationship with the incumbent, not because they are performing well in any tournament. Table 6.3 went some way toward addressing this rival hypothesis by leveraging within-municipality changes in support, showing that increases and decreases in support within the same municipality impact the amount of transfers it receives, but it is still possible that the positive, statistically significant coefficients on the Δ support variables in these models reflect the effect of changes in support among relatively *unsupportive* municipalities. These models do not adequately address the possibility that the highest-performing municipalities may be *exempt* from the tournament.

To evaluate this, I examined whether the results in Table 6.3 hold among municipalities offering the *highest* levels of support for their LDP winners in the previous election. I restricted the sample to the 921 municipalities that placed first or second in the ranking of municipalities in their (tournament-possible) district in the previous election for elections between 1980 and 1993. In other words, I took those that scored the highest and second-highest on Rank (Sum LDP $VS_{m,t}$) in the previous election. Of these 921 municipalities, 173 municipalities (51.3%) remained in the top two in the subsequent election, with 34.9% retaining the same rank in both elections. The average municipality in this sample, however, dropped 4.4 places in the next election.

Table 6.5 examines the effect of Δ Rank(Sum LDP $VS_{m,t}$) between two consecutive elections on change in the per capita transfers received in the years following these two elections for this sample of highly supportive municipalities. In Model 1, I control for prior transfers (measured in the year of the election), while in Model 2, I control for prior transfers *and* time-varying municipality-level characteristics. Because I only have two observations in each district (municipalities that placed first and second in the previous election) and municipalities are not always in the sample for

[17] In Models 3 and 4 of Table A.3, I conduct the same test with Sum Non-LDP $VS_{m,t}$ and Sum Losing LDP $VS_{m,t}$ and find that the results are substantively similar.

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Table 6.5 *Municipalities ranking first or second in support for their LDP winner in the previous election are penalized with fewer transfers after the next election if they drop in rank, 1983–1993. There is little evidence that highly supportive municipalities are insulated from the tournament.*

	Dependent variable: Δ Postelection Transfers (log)	
	(Model 1)	(Model 2)
Δ Rank (Sum LDP $VS_{m,t}$)	0.158*	0.185*
	(0.080)	(0.091)
Log($Transfers_{m,t}$)	0.092***	0.111***
	(0.025)	(0.030)
Fiscal $Strength_{m,t}$		0.190
		(0.139)
Dependent $Population_{m,t}$		−1.241
		(0.845)
Farming $Population_{m,t}$		0.355
		(0.376)
Log($Population_{m,t}$)		−0.002
		(0.028)
Log(Per Capita $Income_{m,t}$)		−0.135
		(0.117)
Population $Density_{m,t}$		0.003
		(0.024)
Constant	0.087	0.395
	(0.101)	(0.424)
Observations	905	843
Year FE	Y	Y
R^2	0.163	0.173

*$p < 0.05$, ***$p < 0.001$.
Regression models using lm() function in R.

two consecutive elections, I cannot incorporate district or municipality fixed effects. Instead, I use year fixed effects.

The positive, statistically significant coefficient on Δ Rank(Sum LDP $VS_{m,t}$) indicates that highly supportive municipalities that drop in rank between two elections are penalized with fewer transfers after the second election. Correspondingly, municipalities that increase their rank between two elections, which in this sample means municipalities that placed second last time and first this time, were rewarded with more transfers after the election. This confirms that even though highly supportive municipalities tend to *remain* highly supportive over time, when those highly supportive municipalities *slip* in support, they are penalized

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with fewer transfers after the election. This suggests that our results cannot be explained by the possibility that select municipalities return high levels of support and receive large transfer allocations for other reasons. Highly supportive municipalities are subject to the same conditions as others: They are forced to compete with each other for resources.

6.2.3 *After Electoral Reform, 1996–2014*

Next, I turn to the postreform period. As I explained in Chapter 5, Japan's 1994 electoral reform increased the share of tournament-impossible electoral districts. Under the old electoral system, only 9% of districts were tournament-impossible. With the electoral reform, the share increased to 27%. The municipal amalgamations that occurred between 2001 and 2005 and urbanization further increased the share to around 40% of districts in 2005 and then to around 50% in 2009, 2012, and 2014. Thus, the analyses in this section pertain to a smaller share of electoral districts.

Table 6.6 presents the results of fixed effect regression models for the logarithm of per capita transfers received by municipalities in tournament-possible districts in the years following the six Lower House elections held between 1996 and 2014 (excluding 2009) as a function of electoral support, prior transfers, the same six time-varying municipality-level controls, and district-year fixed effects. Model 1 examines the effect of Sum LDP $VS_{m,t}$ on postelection transfers, while Model 2 examines the effect of Rank (Sum LDP $VS_{m,t}$).[18] I report robust standard errors clustered on municipality. In the parlance introduced above, these are snapshot regressions. This means that the coefficients on the support variables will tell us whether, within a given district-year, municipalities exhibiting higher levels of support for their LDP winner received more money after elections. In both models, coefficients on the support variables are positive and statistically significant.

In my analyses of the 1980–1993 period (Tables 6.2 and 6.3), I used both the lagged dependent variable and municipality fixed effects to guard against the possibility that time-invariant features of municipalities could be driving the observed relationship between electoral support and transfers. Adding municipality fixed effects to the specifications in Table 6.6 renders the coefficients on the support variables no longer statistically significant. However, as I explained above, a specification with municipality fixed effects is able to estimate the effect of an independent variable of interest only if municipalities exhibit enough variation in that variable

[18] We do not need to separately examine the effects of Best LDP $VS_{m,t}$ and Rank (Best LDP $VS_{m,t}$) because values on these variables are identical to their Sum equivalents in this period. This is because districts produce a single winner.

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Table 6.6 *Within electoral districts, municipalities exhibiting higher support for their district's LDP winner in Lower House elections received more per capita transfers after the election, 1996–2014 (excluding 2009).*

	Dependent variable: Postelection Transfers (log)	
	(Model 1)	(Model 2)
Sum LDP $VS_{m,t}$	0.232**	
	(0.071)	
Rank (Sum LDP $VS_{m,t}$)		0.034*
		(0.017)
Log($Transfers_{m,t}$)	0.677***	0.664***
	(0.011)	(0.013)
Fiscal $Strength_{m,t}$	0.164***	0.200***
	(0.032)	(0.040)
Dependent $Population_{m,t}$	1.521***	1.707***
	(0.217)	(0.246)
Farming $Population_{m,t}$	0.008	0.160
	(0.116)	(0.164)
Log($Population_{m,t}$)	−0.001	−0.002
	(0.006)	(0.007)
Log(Per Capita $Income_{m,t}$)	0.019	0.035
	(0.048)	(0.060)
Population $Density_{m,t}$	0.013**	0.019***
	(0.004)	(0.006)
Observations	11,699	8,493
District-year FE	Y	Y
R^2	0.534	0.531

Robust standard errors clustered on municipality in parentheses.
$^{*}p < 0.05$, $^{**}p < 0.01$, $^{***}p < 0.001$.
Regression models estimated with R's plm() package.

over time. If they do not, the effect of the variable will be "washed out" (absorbed) by the municipality fixed effect.

As I explained in Chapter 5, the post-1994 period is very different from the pre-1994 period. In the pre-1994 period, changes in municipality and electoral district borders were rare. As a result, we have observations for more than three thousand unique municipalities spanning five elections. Moreover, because a relatively large number of municipalities were squashed into a relatively small number of electoral districts, each district contained an average of twenty-six municipalities. More municipalities in a district means greater potential for shifts in the ranking, which generate the variation in our support variables needed to estimate their effect

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independently of a municipality fixed effect. With my data, I calculated the standard deviation in the Sum LDP $VS_{m,t}$ and Rank (Sum LDP $VS_{m,t}$) for all unique municipalities across the five elections prior to 1994. The average municipality experienced a standard deviation of 0.11 in Sum LDP $VS_{m,t}$ and 0.17 in Rank (Sum LDP $VS_{m,t}$), respectively. Translated into absolute rankings, the average municipality in this time period experienced a standard deviation of 5.8 rankings.

In the post-1994 period, we have more electoral districts, which means fewer municipalities per district and less potential for shifts in the ranking. We also have the government's attempts to encourage municipalities to merge. By 2005, only 39% of municipalities that had existed in 2001 remained with their borders intact; 61% had undergone amalgamations of some kind (Horiuchi, Saito and Yamada 2015). This further reduces the number of municipalities per district; thus, further limiting the potential for movement in our independent variable of interest. Chapter 5 explains that a by-product of the increased number of electoral districts and reduced number of municipalities, especially after 2005, was growth in the number of electoral districts in which tournaments cannot be conducted. Municipalities in tournament-impossible districts are not the subject of the above empirical analyses. This confluence of factors means that many municipalities in the postreform period are in the data for only two or three elections before disappearing, either because they were subject to a merger (and ceased to exist), or because population changes meant that their district became tournament-impossible. Many municipalities created by a merger in the mid 2000s are also in the data for only one or two elections before their district qualifies as tournament-impossible and they drop out.

Of the universe of unique municipalities that existed in the post-1994 period ($n = 3,606$), my data show that only 25% ($n = 898$) existed for five or more elections, the length of time municipalities in the pre-1994 period existed. Almost 70% of municipalities ($n = 2,492$) in existence in the post-1994 period existed for one, two, or three elections. Looking at the standard deviation in Sum LDP $VS_{m,t}$ and Rank (Sum LDP $VS_{m,t}$) for all unique municipalities in the postreform period, we find that the average municipality experienced a standard deviation of 0.10 in Sum LDP $VS_{m,t}$ and 0.10 in Rank (Sum LDP $VS_{m,t}$), respectively. Translated into absolute rankings, the average municipality experienced a standard deviation of 2.1 rankings. Thus, while the degree of within-municipality change in Sum LDP $VS_{m,t}$ is similar under both systems, the degree of within-unit change in Rank (Sum LDP $VS_{m,t}$) is less. It is possible that we would observe statistically significant coefficients on our support variables in a specification with both the lagged dependent

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variable and municipality fixed effects if we had more elections after the mid 2000s mergers were complete.

6.2.4 Competing Explanations and Placebo Tests, 1996–2014

As I explained above, the theory expects that resource allocations after elections will not be a function of support for LDP candidates who *lost* the election. Nor will they be a function of support for winning candidates from *other parties*, with the possible exception of LDP-aligned independent candidates who were allowed to join the LDP after emerging victorious in their districts. This section derives and implements tests of these propositions tailored to the specifics of the post-1994 environment.

First, Table 6.7 presents the results of fixed effect regression models for the logarithm of per capita transfers received by municipalities in the years following the six Lower House elections held between 1996 and 2014 (I continue to exclude 2009). In these models, the sample is limited to municipalities in tournament-possible districts in which the LDP candidate *lost* the election (did not place first). Of the 1,138 tournament-possible districts used in these six elections, 341 (30%) did not produce an LDP winner. In both models, the independent variable of interest is Sum Losing LDP $VS_{m,t}$. Defined above, this is the number of votes cast in the municipality for the district's LDP loser, divided by the number of eligible voters in the municipality. It captures how supportive municipality *m* was for the losing LDP candidate. Both models include prior transfers, the same six time-varying municipality-level controls, and district-year fixed effects. I report robust standard errors clustered on municipality.

In Model 1, the coefficient on Sum Losing LDP $VS_{m,t}$ is positive but not statistically significant. This means that municipalities in tournament-possible districts in which the LDP candidate lost the election do not appear to have received postelection NTD allocations commensurate with their relative levels of support for this candidate. The lack of a statistically discernible relationship between support for LDP losers and the amount of money municipalities received after the election is evidence that tournaments are conducted by *winning* LDP candidates.

Under Japan's MMM electoral system, electoral districts can have LDP candidates who lose their district (meaning, did not place first) but win a seat in parliament anyway. These candidates are said to have been "resurrected" via the PR tier.[19] This outcome is not a function of the

[19] They have also been nicknamed "zombies" due to their ability to "rise from the dead" (that is, an SSD loss) (Krauss, Pekkanen and Nyblade 2006).

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Table 6.7 *Within electoral districts, municipalities exhibiting higher levels of support for their district's LDP loser in Lower House elections did not receive more per capita transfers after the election, 1996–2014 (excluding 2009) (Model 1). This holds even in the subset of districts in which the LDP loser was resurrected via PR (Model 2).*

	Dependent variable: Postelection Transfers (log)	
	(Model 1) (LDP candidate loses SSD)	(Model 2) (LDP candidate loses SSD, wins PR seat)
Sum Losing LDP $VS_{m,t}$	0.133	0.115
	(0.157)	(0.258)
Log($Transfers_{m,t}$)	0.715***	0.779***
	(0.017)	(0.027)
Fiscal $Strength_{m,t}$	0.091*	−0.047
	(0.043)	(0.097)
Dependent $Population_{m,t}$	1.336***	0.331
	(0.391)	(0.703)
Farming $Population_{m,t}$	−0.242	−0.162
	(0.230)	(0.253)
Log($Population_{m,t}$)	−0.005	0.021
	(0.011)	(0.015)
Log(Per Capita $Income_{m,t}$)	0.001	−0.092
	(0.083)	(0.131)
Population $Density_{m,t}$	0.003	−0.007
	(0.006)	(0.008)
Observations	3,206	1,047
District-year FE	Y	Y
R^2	0.543	0.598

Robust standard errors clustered on municipality in parentheses.
$^{*}p < 0.05$, $^{***}p < 0.001$.
Regression models estimated with R's plm() package.

electoral system itself, but a function of a feature of the electoral system that allows candidates to be dual-listed in both tiers, *combined* with internal rules parties have adopted to make themselves more competitive in this system. In a nutshell, the LDP (and other parties) encourage their candidates to be dual-listed in both the SSD and PR tier. For a given candidate, this means that she would be the party's nominee for a given SSD, while also appearing on the party's list in the PR bloc that houses that SSD. The LDP adopts the rule that its dual-listed candidates appear at the same rank on the party's list for that bloc. Then, once votes are counted,

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dual-listed LDP candidates who won their districts are struck from the list, leaving only the dual-listed LDP candidates who lost their districts. These LDP losers are then reranked in accordance with how closely they lost their SSDs, with the LDP candidate who lost by the smallest margin of victory relative to her SSD winner being placed at the top of this list.[20] If the LDP is entitled to *n* seats in a particular PR bloc, it will then distribute those seats to the *n* highest-placed candidates on this reranked list (McKean and Scheiner 2000).

For our purpose, this means that voters in some of the 341 district-years without LDP winners (analyzed in Model 1 of Table 6.7) have their losing LDP candidate in parliament anyway. Precisely, voters in 119 (34.9%) of the 341 district-years without LDP winners had their district's LDP loser in the Lower House by virtue of the PR tier. Krauss, Pekkanen and Nyblade (2006) reasoned that the desire these politicians might feel to place first in the SSD the next time around gave them particularly strong incentives to pork-barrel. As evidence, these authors found that LDP politicians who were resurrected in PR were more likely to be appointed to parliamentary standing committees charged with distributive politics (defined as Construction, Transportation, Trade and Industry, Agriculture, Local Affairs, House Budget, and Posts and Telecommunications). In Model 2 in Table 6.7, I conduct the same regression as in Model 1 but limit observations to municipalities in districts in which the LDP candidate lost the district but entered parliament via PR. The results are similar to those in Model 1: The coefficient on Sum Losing LDP $VS_{m,t}$ is positive and not statistically significant. Thus, there is little evidence that PR-resurrected LDP candidates distribute money after elections on the basis of electoral support.

Next, the theory expects that winners from *other parties* will not be able to implement GBC, on account of the fact that they have less influence over central government bureaucrats, upon whose cooperation the distribution of resources depends. One possible exception is LDP-aligned independent winners, who did not obtain the LDP's endorsement prior to the election but make it clear during their campaigns that they will join the LDP after the election, should they win. In an interview with one such LDP politician, who joined the LDP after emerging victorious against an (older) LDP incumbent, I was told "everyone knew that I was planning on joining the LDP if I won" (Interview, LDP Lower House Member, Tokyo, Japan, December 12, 2023). My analyses of the pre-electoral reform period showed that district winners from parties other than the LDP did not make resource allocations a function of support

[20] This is called sekihairitsu in Japanese.

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(Model 3, Table 6.4), but LDP-aligned independents who won the election did (Model 2, Table 6.4). While the theory expects similar results in the postreform period, a key difference between the old and new systems is that under the old, districts had *several* winners, whereas under the new, they have *one*. It is possible that this has changed the bargaining power between opposition-affiliated district winners and central government bureaucrats. It may have been easier for bureaucrats to ignore the demands of non-LDP Lower House Members when they were one of *several* representatives in a district (which also had an LDP winner) than when they are the *sole* representative in a district.

To examine this, I constructed District Winner $VS_{m,t}$, which is the number of voters in municipality m who voted for the candidate who placed first in the district, divided by the number of eligible voters in municipality m. Table 6.8 presents the results of fixed effect regression models for the logarithm of per capita transfers received by municipalities in the years following the six Lower House elections held between 1996 and 2014 (I continue to exclude 2009). In all models, our independent variable is District Winner $VS_{m,t}$, and I examine how its effect varies based on which party's candidate won the electoral districts in the sample. All models also include prior transfers, the same six time-varying municipality-level controls, and district-year fixed effects. I report robust standard errors clustered on municipality.

In Model 1, the sample is municipalities in electoral districts with LDP-aligned independent winners who joined the LDP after the election (forty-one districts). The coefficient on District Winner $VS_{m,t}$ is positive and statistically significant, indicating that LDP-aligned independent winners were able to make resources a function of support, just like their counterparts in prereform elections. In Model 2, the sample is municipalities in districts with winners from the New Frontier Party (NFP), which ran in 1996 only (sixty districts). The coefficient on District Winner $VS_{m,t}$ is positive and not statistically significant, indicating a lack of evidence that these candidates distributed money on the basis of support.

In Model 3, the sample is municipalities in districts with winners from the Democratic Party of Japan (DPJ). If GBC is in part a numbers game, with any party capable of sustaining a critical mass of Diet Members over a period of time gaining the influence over central government bureaucrats to implement it, then we might observe DPJ district winners tying resource allocations to the municipalities within their districts to their relative levels of support. Altogether, there were 172 of these districts. The coefficient on District Winner $VS_{m,t}$ is negative and not statistically significant, indicating no evidence of this. Of these 172 districts, however, 68 also produced LDP candidates who lost by such small margins that

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Table 6.8 *In electoral districts without LDP winners in elections 1996–2014 (excluding 2009), LDP-aligned independents who joined the LDP after the election distributed money in accordance with support (Model 1) but winners from the New Frontier Party and Democratic Party of Japan did not (Models 2 and 3). The lack of a relationship between money and votes in DPJ-won districts is not explained by their rival LDP loser winning a PR seat (Model 4).*

	Dependent variable: Postelection Transfers (log)			
	(Model 1) (LDPI winner)	(Model 2) (NFP winner)	(Model 3) (DPJ winner)	(Model 4) (DPJ winner, no LDP PR candidate)
District Winner $VS_{m,t}$	0.636**	0.267	−0.076	−0.235
	(0.234)	(0.222)	(0.240)	(0.300)
Log($Transfers_{m,t}$)	0.746***	0.617***	0.761***	0.706***
	(0.041)	(0.035)	(0.026)	(0.038)
Fiscal $Strength_{m,t}$	0.013	0.338**	0.023	0.121
	(0.149)	(0.103)	(0.058)	(0.071)
Dependent $Population_{m,t}$	0.028	3.377***	0.531	1.462
	(0.887)	(0.932)	(0.612)	(0.923)
Farming $Population_{m,t}$	0.700	−0.552	−0.301	−0.139
	(1.171)	(0.360)	(0.299)	(0.417)
Log($Population_{m,t}$)	0.006	−0.042	0.007	−0.008
	(0.023)	(0.022)	(0.017)	(0.025)
Log(Per Capita $Income_{m,t}$)	−0.144	−0.008	0.059	0.152
	(0.270)	(0.152)	(0.128)	(0.195)
Population $Density_{m,t}$	0.030	0.022	−0.011	−0.009
	(0.035)	(0.013)	(0.008)	(0.012)
Observations	501	614	1,388	812
District-year FE	Y	Y	Y	Y
R^2	0.574	0.593	0.557	0.508

Robust standard errors clustered on municipality in parentheses.
$^{**}p < 0.01$, $^{***}p < 0.001$.
Regression models estimated with R's plm() package.

they gained a PR seat. In Model 4, I implement the same specification as in Model 3 but limit the sample to municipalities in districts with DPJ winners and *without* LDP PR-resurrected LDP candidates. The coefficient on District Winner $VS_{m,t}$ is similarly negative and not statistically significant. Thus, the lack of relationship between votes for DPJ winners and postelection NTD allocations in Model 3 is not explained by the fact that

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some of those districts have LDP candidates in parliament, who may be working at cross-purposes to the DPJ winner.[21]

6.2.5 LDP Winners Double Down after 2009 Election

As I explained in Chapter 2, the years of 2005–2009 were tough ones for the LDP. In 2001, the party chose a leader who succeeded in keeping his approval rate above his disapproval rate for the near-length of his five-year term. The party was not so lucky with its next three leaders, all of whom lasted only a single year. The one-year terms of Abe Shinzo (2006–2007), Fukuda Yasuo (2007–2008), and Aso Taro (2008–2009) exhibited similar pathologies: Disapproval began exceeding approval relatively early on, and it proved difficult to reverse or even stem this trend. In July 2009, with a disapproval rate of 70% to an approval rate of 21%, Aso found himself at the very end of the four-year term of Lower House Members. Indicators of the drubbing the party was about to receive were communicated first by the Tokyo Metropolitan Assembly election in July, in which 40% of ballots went to DPJ candidates and only 25% to LDP candidates, and second, by polling data released by national newspapers (Daily Yomiuri 2009). In one, 41% of respondents reported that they planned to cast PR ballots for the DPJ (compared to 24% for the LDP), while 41% reported that they planned to cast SSD votes for the DPJ candidate (compared to only 23% for the LDP candidate) (Yomiuri Shimbun 2009).[22] Being unable to wait for more fortuitous circumstances, Aso dissolved the House. In the election held at the end of August, the DPJ won a landslide victory. The LDP won only 64 SSDs, while the DPJ won 221.

Because the LDP did not control government during the 2010 fiscal year, the above analyses excluded the 2009 election. However, this election offers the opportunity to examine what happens when a long-standing dominant party fails to capture a majority and loses control of government. In this situation, the party's *majority* is gone, but its *presence in parliament* is not. A number of outcomes are possible: Politicians

[21] In the post-2001 era, Catalinac and Motolinia (2021*a*) find that select LDP politicians seek district votes from Komeito supporters and ask their own supporters to cast PR votes for the Komeito in return. The authors found that resource allocations are also used to reward LDP supporters for switching their PR votes. To the extent that Komeito supporters contribute to their municipality doing well in the tournament, the findings in this book are evidence that rewards flow to Komeito supporters, too.

[22] In the same poll, when asked who they thought would be a suitable Prime Minister, 46% named DPJ leader Hatoyama Yukio (compared to 21% who named the current LDP Prime Minister, Aso Taro) (Yomiuri Shimbun 2009).

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in the party slated to win the election (the DPJ) may have used tournaments, such that postelection NTD allocations to municipalities reflect levels of support for those politicians, leaving LDP politicians out in the cold. Alternatively, politicians in the dominant party who manage to retain their seat in spite of the headwind against their party may have lost their status as ruling party members but may still be able to harness their connections to bureaucrats in ways that sway NTD allocations. We might be more likely to observe the latter outcome when the amount of money municipalities receive is not inserted into government budgets, but left up to the discretion of individual ministries, which are vulnerable to lobbying by Diet Members.

Table 6.9 presents three regression models, all of which focus on municipalities in 2009. The outcome of interest in each is the logarithm of per capita transfers received by municipalities in the year after the 2009 election. Each model controls for prior transfers (measured the year of the election) and the same six time-varying municipality-level characteristics included above and includes a fixed effect for electoral district. In Model 1, my question of interest is whether municipalities delivering higher levels of electoral support for winning DPJ politicians were rewarded with more money after the election. The independent variable of interest is Sum DPJ $VS_{m,t}$. Constructed analogously to Sum LDP $VS_{m,t}$, it captures the share of eligible voters in the municipality who voted for a winning DPJ candidate. Its coefficient is positive but not statistically significant. Thus, municipalities exhibiting higher levels of support for their DPJ incumbents do not appear to have been rewarded with more money after the election.[23] Even though the election put DPJ politicians in control of both the Upper and Lower Houses, respectively, there is little evidence that DPJ politicians used a tournament.[24]

In Model 2 of Table 6.9, my question of interest is whether municipalities exhibiting higher levels of support for their LDP winners continued to be rewarded with more money after the election, just as they had been in prior elections. The independent variable of interest is Sum LDP $VS_{m,t}$, the share of eligible voters in the municipality who voted for a winning LDP candidate. Its coefficient is positive and statistically significant. This

[23] I checked whether this could be explained by the fact that select DPJ winners had same-district LDP rivals in parliament. To do this, I reran the specification in Model 1 on the sample of municipalities in electoral districts with DPJ winners and without PR-resurrected LDP candidates. I found a similar lack of statistical significance on Sum DPJ $VS_{m,t}$. This means that even when the coast is clear, and efforts to reward supporters are not being overturned by same-district LDP rivals with clashing electoral incentives, there is still little evidence that DPJ SSD winners engaged in GBC.

[24] It had secured a majority in the Upper House in the 2007 election.

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Table 6.9 *Within electoral districts in the 2009 election, municipalities exhibiting higher support for DPJ winners did not receive more transfers (Model 1) but municipalities exhibiting higher support for LDP winners did (Model 2). In districts without LDP winners, support for the LDP has no relationship with transfers (Model 3).*

	Dependent variable: Postelection Transfers (log)		
	(Model 1)	(Model 2)	(Model 3)
Sum DPJ $VS_{m,t}$	0.264		
	(0.424)		
Sum LDP $VS_{m,t}$		1.303***	
		(0.370)	
Sum Losing LDP $VS_{m,t}$			−0.054
			(0.416)
Log($Transfers_{m,t}$)	0.569***	0.555***	0.569***
	(0.049)	(0.049)	(0.049)
Fiscal $Strength_{m,t}$	0.190	0.203	0.190
	(0.106)	(0.104)	(0.106)
Dependent $Population_{m,t}$	1.491	1.243	1.522
	(0.794)	(0.773)	(0.794)
Farming $Population_{m,t}$	0.801*	0.746*	0.786*
	(0.383)	(0.379)	(0.381)
Log($Population_{m,t}$)	−0.038*	−0.032*	−0.040**
	(0.015)	(0.015)	(0.015)
Log(Per Capita $Income_{m,t}$)	−0.249	−0.230	−0.238
	(0.157)	(0.152)	(0.154)
Population $Density_{m,t}$	0.025*	0.025*	0.026*
	(0.010)	(0.010)	(0.010)
Observations	1,072	1,072	1,072
District FE	Y	Y	Y
R^2	0.391	0.401	0.391

Robust standard errors clustered on municipality in parentheses.
$^{*}p < 0.05$, $^{**}p < 0.01$, $^{***}p < 0.001$.
Regression models estimated with R's plm() package.

means that in the small number of electoral districts with LDP winners, municipalities exhibiting higher levels of support for those LDP winners were found to have been rewarded with more money after the election. Despite having lost control of government, LDP electoral district winners appear to have had no problems influencing NTD allocations in the wake of this loss.

In Model 3, I examine municipalities in districts without LDP winners. Here, I am interested in whether municipalities returning more votes for *losing* LDP candidates received more money after the election. The

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independent variable of interest is Sum Losing LDP $VS_{m,t}$. Defined above, this is the number of votes cast for the LDP's losing candidate, divided by the number of eligible voters in the municipality. In this regression, the coefficient on Sum Losing LDP $VS_{m,t}$ will tell us whether municipalities exhibiting more support for their district's LDP loser received more NTD after the election than same-district municipalities exhibiting less. Its coefficient is positive and not statistically significant. Thus, like all other elections in our sample, it is only when LDP candidates *win* the election that municipalities receive NTD allocations commensurate with their levels of electoral support.

These findings suggest that being knocked out of government did little to interrupt the ability of LDP Lower House members to use NTD to reward their supporters. Because the 2009 election reduced the number of LDP SSD winners to a mere one-fifth of the total, however, this does mean that a much larger share of Japanese voters were *not* subject to a tournament in this election.

In sum, the above analyses lend support to the theory: Voters in districts won by the LDP, including LDP-aligned independents who were permitted to join the party after winning a seat, are subject to a tournament, in which the amount of resources their municipality receives after the election is tied to the level of support they provided in the election. Voters in districts without LDP winners are not. These findings cannot be explained by certain municipalities having strong ties with their LDP incumbents. Nor can they be explained by the inclusion of electoral districts with dominant municipalities. Nor are they limited to senior LDP politicians. Rather, the balance of evidence suggests that this is an electoral strategy pursued by the rank and file.

6.3 A CONVEX RELATIONSHIP BETWEEN SUPPORT AND TRANSFERS

In Chapter 4, I drew on the formal models in Smith, Bueno de Mesquita and LaGatta (2017) and Smith and Bueno de Mesquita (2019, 2012) to introduce two distinct ways an incumbent could use geographically targetable resources to garner votes from groups of voters in her district. One is "output-calibrated compensation." Under this scheme, incumbents might promise to deliver a prize commensurate with the group's contribution to her reelection. A group contributing 35% of an incumbent's votes could expect to receive 35% of the resources incumbents have access to after the election. A problem with this scheme is that votes are converted into resources in a relatively *proportional* manner. Thus, an individual voter might decide not to vote on the basis that the amount of resources

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her group would receive would only be slightly less than if she had voted. From the perspective of the incumbent, the danger is that *many* voters will make this calculation. If so, the incumbent would struggle to realize enough votes to actually win the election. The use of output-calibrated compensation would likely result in the incumbent having to deliver a very *large* amount of resources, to try to give voters with incentives to abstain reasons not to.

In Chapter 4, I explained that incumbents who want to protect themselves from this type of abstention can adopt "contest-based compensation." Under contest-based compensation (a tournament), incumbents in districts consisting of two groups can promise a large prize to the group whose support puts it in first place. In the same spirit, incumbents in districts consisting of more than two groups can offer the largest prize to the group that places first, the second-largest prize to the group that places second, and so on. If the incumbent in the multiple group-district designs the prizes such that the difference in amounts received between the first and second place-getter exceeds the difference in amount received between the second and third place-getter, and so on, she will give members incentives to *compete* for first place, second place, and so on, just as groups do in the two group-district scenario. Competition ensues because the amount of money that an already fairly supportive group stands to gain by becoming *even more supportive* is large. This induces voters in the already fairly supportive groups to set aside whatever personal feelings they harbor for the incumbent and turn out and vote for her. Critically, these voters are not turning to influence who wins the election, but to avoid the possibility that *their vote* ends up costing their group a large resource allocation after the election.

Hypothesis 2 concerns this observable implication of a tournament. To subject this to empirical scrutiny, I examined whether the positive relationship between support and transfers within district-years (documented above in Tables 6.1, 6.2, and 6.6) is convex, as implied by the theory.[25] Is there evidence that the amount of money municipalities are competing over are larger at higher ranks? To do this, I use the dependent variable in its raw values (the per capita amount in yen received by municipalities in the years following the Lower House elections held between 1980

[25] Because the above specifications used a logged dependent variable, they could also be considered tests of Hypothesis 2, which holds that the relationship between support and per capita transfers among same-district municipalities is *convex*. However, positive significant coefficients on our support variables could still be obtained in the above specifications even if the relationship is *not* convex. The below is a more stringent test.

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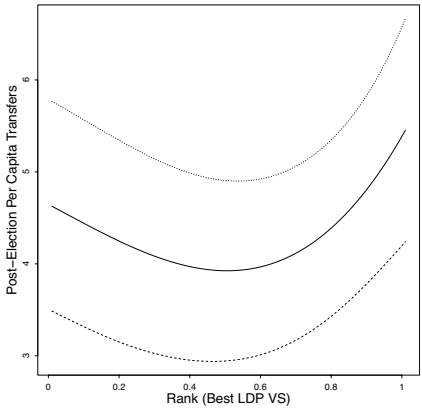

Figure 6.1 The relationship between rank and transfers is convex, 1980–2014. Predicted values (with 95% confidence intervals) from a regression of postelection per capita transfers received by municipalities (1980–2014) on a cubic specification of Rank(Best LDP $VS_{m,t}$), municipality-level controls, and district-year fixed effects.

and 2014, excluding 2009).[26] I conduct fixed effect regressions of this (non-log-transformed) dependent variable as a function of a municipality's position in a rank order of municipalities in its district-year (captured with Rank(Best LDP $VS_{m,t}$) and Rank(Sum LDP $VS_{m,t}$), respectively), as well as quadratic and cubic transformations of these (rank) variables. In this specification, a joint hypothesis test will tell us whether the coefficients on my rank variables and their quadratic and cubic transformations are *jointly significant*.

Table A.4 presents the results of these two specifications, run on municipalities in tournament-possible districts in Lower House elections, 1980–2014 (I exclude 2009). Both specifications include the same six time-varying municipality-level controls and district-year fixed effects. I report robust standard errors clustered on municipality. In both specifications, the joint hypothesis test is statistically significant. This is evidence that the relationship between support and transfers is not linear.

To visually depict the convexity, Figure 6.1 plots predicted values and 95% confidence intervals from the regression in Model 1 of Table A.4. It demonstrates that once a municipality is at the median or above in terms of support (0.5 to 1 on Rank (Best LDP $VS_{m,t}$)), the returns to moving up in rank increase at an increasing rate. For municipalities at the very top

[26] The units of this variable are in millions of yen. A municipality with a value of 0.07 receives 70,000 yen per capita. For this regression, I multiplied these values by 100 to make the units of the variable 10,000 yen (ichi man yen in Japanese).

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of the ranking, the returns to increasing one's rank are very large. Translating these coefficients into real yen amounts reveals that a municipality that increases its Rank(Best LDP $VS_{m,t}$) from 0.95 to 1, which would put it in first place, can expect to net itself an increase of 3,206 yen per capita (approximately $20.60 USD) in per capita transfers after the election. In this sample, the mean per capita transfer received by a municipality in the year after a Lower House election was 40,884 yen (approximately $262 USD). Thus, this amounts to a 7.8% increase in its per capita transfer allocation. In the average municipality of slightly more than 13,000 people, this would translate into an increase of a little more than 43 million yen (or US $275,000 in today's exchange rate).

As expected, the same increase in support translates into smaller increases in transfers for municipalities at lower ranks. A municipality that increases its Rank(Best LDP $VS_{m,t}$) from 0.80 to 0.85, for example, can expect to net itself an increase of 1,969 yen per capita (approximately $13 USD) in per capita transfers after the election. The increase is much smaller for municipalities in the middle of the ranking. A municipality that increases its Rank(Best LDP $VS_{m,t}$) from 0.55 to 0.6, for example, can expect to net itself an increase of 381 yen per capita (approximately $2.15 USD) in per capita transfers after the election. Among the relatively unsupportive municipalities, whose position in the ranking is 0.5 or lower, increases in rank are actually associated with slight increases in transfers. It is possible that municipalities at the bottom of the ranking, at least in support for LDP winner, are highly supportive of a winner from an opposition party. To the extent that the opposition winner

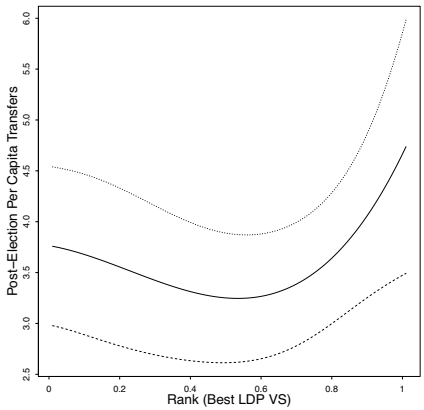

Figure 6.2 The relationship between rank and transfers is convex, 1980–1993. Predicted values (with 95% confidence intervals) from a regression of postelection per capita transfers received by municipalities (1980–1993) on a cubic specification of Rank(Best LDP $VS_{m,t}$), municipality-level controls, and district-year fixed effects.

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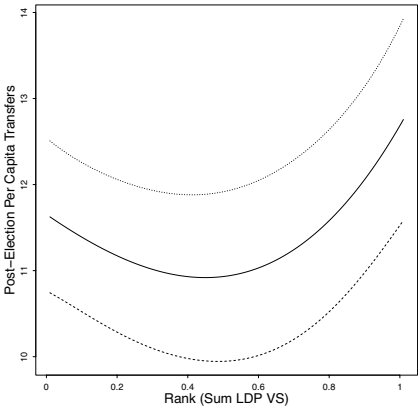

Figure 6.3 The relationship between rank and transfers is convex, 1996–2014. Predicted values (with 95% confidence intervals) from a regression of postelection per capita transfers received by municipalities (1996–2014) on a cubic specification of Rank(Best LDP $VS_{m,t}$), municipality-level controls, and district-year fixed effects.

is experienced, she may have some influence over the transfer process as well.

In the Appendix, I separate the sample into the pre- and post-1994 periods. Table A.5 presents the same two specifications in Table A.4, but on data from the pre-1994 period. Table A.3 presents the specification in Model 2 of Table A.4 (which uses Rank(Sum LDP $VS_{m,t}$)) with data from the post-1994 period. In all tests, the joint hypothesis test is statistically significant. Figure 6.2 displays predicted values and 95% confidence intervals from the regression in Model 1 of Table A.5. Figure 6.3 displays predicted values and 95% confidence intervals from the regression in Table A.6. The convex relationship is visible in both periods.

6.4 EVIDENCE OF THE THEORY'S MICROFOUNDATIONS

The above analyses established that patterns of resource allocations within electoral districts are consistent with LDP politicians pitting municipalities against each other in a competition for resources. Alternative specifications subjected other implications of the theory to rigorous empirical scrutiny and helped rule out alternative theories. We can help assuage any remaining concern that the relationship between support and resource allocations is explained by factors orthogonal to the theory by specifying the theory's underlying assumptions about LDP politicians and voters and presenting evidence of these.

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6.4 Evidence of the Theory's Microfoundations

6.4.1 LDP Politicians Influence NTD Allocations

A core assumption is that LDP politicians are capable of influencing NTD allocations to municipalities. In Chapter 5, I described the process through which allocations are arrived at. It begins with central government ministries specifying categories of projects for which municipalities can apply for funding. Municipalities then put together applications for projects. Where possible, they send representatives to Tokyo to try to meet with the relevant decision-making bureau so that the application can be delivered and the case for the project be made in person. The LDP politicians are said to help municipal representatives secure meetings with the relevant decision-makers by providing introductions. They are also said to help representatives make the case for their project by accompanying them to the meetings. Eventually, bureaucrats decide which projects get funded.

In some countries, it is possible to request data on who central government bureaucrats are meeting with and when. In Japan, to the best of our knowledge, this is a black box: There is no publicly available data of this kind (Saito 2010). One study writes: "Exactly how representatives influence the distribution of government transfers is not well known" (Hirano 2011, 1086). In lieu of systematic evidence capturing politician–bureaucrat interactions, we can turn to less systematic evidence, which nevertheless makes a compelling case that LDP politicians can influence bureaucrat-determined resource allocations, and do so with an eye to the potential beneficiary's performance for them in elections.

The Japanese politics literature is replete with claims that LDP politicians can influence the allocation of central government resources.[27] Writing in the 1960s, one author describes LDP politicians as offering three main services to constituents: intercession with the government, support for community activities, and personal support for constituents (Thayer 1969, 94). Intercession with the government, in the author's words, consists of helping constituents secure central government funds for the construction of new facilities or the maintenance or repair of old ones. Road paving, bridge building, sewerage system improvement, and the building of gymnasiums and train stations are all mentioned as examples. LDP politicians secure these funds, the author explains, by putting pressure on "the appropriate government offices in Tokyo"

[27] The following studies all make this claim: Reed (2021); Christensen and Selway (2017); McMichael (2018); Naoi (2015); Reed, Scheiner and Thies (2012); Pempel (2010); Krauss and Pekkanen (2010); Saito (2010); Scheiner (2006); Bouissou (1999); Tani (1998); Ramseyer and Rosenbluth (1993); Hirose (1993); Sone and Kanazashi (1989); Curtis (1971); and Thayer (1969).

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(Thayer 1969, 94). The author describes how a secretary of one LDP politician boasted about the politician's "high batting average" with construction ministry bureaucrats. In a drive around the politician's electoral district, the secretary even showed the author facilities that the politician had worked to secure the funding for.

Thirty years on, studies describe LDP politicians in strikingly similar ways. The LDP politicians are described as transferring "extensive wealth" from the national treasury to their home districts (Ramseyer and Rosenbluth 1993), using state resources to "build up their own locally-based, personal clientelistic networks" (Reed, Scheiner and Thies 2012, 359), and engaging in a "perennial scramble for pork from the national treasury" (Fukui and Fukai 1996, 278). They are "constantly visited at their Tokyo offices by delegations of politicians from back home, and spend a great deal of time trying to arrange appointments for them with bureaucrats in key ministries and agencies" (Fukui and Fukai 1996, 278). Knowing that "politicians affiliated with a party that controls the bureaucracy can redistribute extensive wealth from the national treasury to their home districts," potentially bringing in "highways, schools, airports, and cash," local government representatives prioritize soliciting help from their LDP-affiliated Diet Member(s) (Ramseyer and Rosenbluth 1993, 122). The projects LDP politicians reportedly secured for their constituents included indoor gyms, track and baseball fields, industrial parks, bridges over rivers, aquariums, technopolises, international universities, theme parks, ski slopes, waterfronts, and other tourist facilities (Fukui and Fukai 1996; Scheiner 2006).

Scholarship is unequivocal that the purpose of all this pork-barreling is to win LDP politicians votes. Fukui and Fukai (1996, 269) write that "for much of the postwar period," "the performance of Diet members in pork barrel politics made or broke their political careers," with the amount of money a politician was able to bring home determining their "worth to constituents" and "chances of reelection" (Fukui and Fukai 1996, 276). Japanese voters were described as preferring "a candidate who can deliver a bigger share of the benefits being distributed to one who represents them on the issues of the day" (Reed 1986, 35) and weighing a candidate's ability to bring "tangible benefits" back to her constituents more heavily than any "ideology and policy orientation" (Kohno and Nishizawa 1990, 159). As a result, candidates "routinely swear to help their constituents get more attention and help from Tokyo" in the form of "pork from the national treasury" (Fukui and Fukai 1996, 278). A case study of a former LDP Prime Minister known for his pork-barreling acumen, Tanaka Kakuei, observed that the projects Tanaka helped secure for his constituents were often "grandiose" and designed

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to "astound the locals." Tanaka, the author notes, even went so far as to keep "shabby" prior structures in place, right next to the new structures, "to serve as an ever-present reminder of the magnitude of improvement" (Schlesinger 1997, 103).

Scholars emphasize that money for geographically defined groups of voters was part of a broader electoral strategy of using the LDP's access to government resources to court select groups of voters, who could be relied on to turn out and vote for LDP candidates. According to Estevez-Abe (2008, 119), hikes in compensation for war veterans and survivors, fees for physicians, and even regulatory advantages over postal products "were all benefits purchased by loyal support for the ruling Liberal Democratic Party." In addition to special postmasters, physicians, and veterans and their families, other beneficiaries of favorable LDP-designed public policies, who return the favor with electoral support, are farmers, religious organizations, proprietors of small and medium-sized businesses, and declining industries and sectors (Maclachlan and Shimizu 2022; Reed 2021; Gentry 2021; Naoi 2015; Maclachlan 2006; Davis 2003). What binds these voters to the LDP, Pempel (2010, 234) explains, is less any shared ideology or commitment to the programmatic elements of the party's platform, and more the party's "not-too-subtle predisposition to divvy up the spoils of office." This author goes as far as to say that "numerous Japanese regions, economic sectors, and individual corporations were transformed into semi-permanent wards of the Japanese treasury with their LDP parliamentarians serving as welfare officers. The reciprocation came in the form of large blocs of pro-LDP votes delivered in return" (Pempel 2010).

Several studies delve into the question of how such exchange relationships materialize and are sustained. Sone and Kanazashi (1989) present an in-depth look at the electoral strategy of the aforementioned Tanaka Kakuei. Like other LDP politicians, Tanaka built an extensive personal support organization (a koenkai) in his district. Shaped like a pyramid, the organization had a headquarters at the top, liaison councils below that (organized at the level of the city or borough), and branches below that (317 in total, organized at the level of the "old towns and villages," meaning those that existed prior to amalgamations that took place in the 1950s). According to the authors, a key feature of Tanaka's organization was an "intertwining" of the functions of vote-gathering and constituent requests. Constituents who wanted things done in the district were encouraged to present their demands at the local branch of Tanaka's organization, which was staffed by a local politician loyal to Tanaka. The local politician would encourage the petitioner to "join" Tanaka's support organization, which meant leaving their name and address and

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agreeing to be contacted in advance of elections. The local politician would then relay the request upward to the liaison council, which would then relay it upward to the headquarters.

After elections, the headquarters would "work out the vote share for Tanaka in the different areas (branches), and make them compete against each other" (Sone and Kanazashi 1989, 110). While Tanaka ostensibly had a formula to determine how much public works spending and other subsidies areas would receive, people also knew that "how well" each area did for Tanaka, in terms of votes supplied, also factored into this calculation. The authors likened the relationship between voters, local politicians, and Tanaka himself to a "business exchange in which votes are traded for benefits for the community." A feature of Japan's governance institutions that greased the wheels of this exchange was the fact that municipalities were so dependent on funds from the central government (Scheiner 2006). The fact that local politicians had to cozy up to their LDP Diet Member(s) if they wanted money for their community left the branches of Tanaka's support organization with "no choice but to get out the vote for Tanaka" (Sone and Kanazashi 1989, 111).

The pyramid structure of campaign organization is when politicians divide up their electoral district into distinct geographic units and assign the responsibility of gathering votes in each unit to a single campaign manager, who then appoints staffers below her. Critically, pyramids are said to be a hallmark of LDP politicians' campaign organizations, but not of *non*-LDP politicians' organizations (Bouissou 1999; Tani 1998; Curtis 1971; Thayer 1969). Curtis (1971) studied the election campaign of LDP politician Sato Bunsei in the 1967 Lower House election. He writes:

> Sato's campaign organizations in the district's rural cities, towns, and villages followed a general pattern. His support, as is typical of the traditional organizational structure employed by conservative politicians, was organized on a *chiiki* or geographical basis.[28] Each city, town, and village has a campaign organization that deals directly with the candidate and his headquarters and is independent of the organizations in the other cities, towns, and villages. This is the so-called vertical approach to campaign organization – the creating of independent support groups in each administrative area. It is in contrast with the organization of Socialist party politicians who, because of the support of labor unions, are seen as using a "horizontal" approach. The labor unions which are used as the candidate' campaign organization have a membership which fans out over the district and cuts across *chiiki* lines. (Curtis 1971, 53)[29]

[28] *Chiiki* is "place."

[29] Curtis (1971) explains that Sato did not establish a branch in the smallest municipality in his district, the island village of Himeshima, on the grounds that nearly

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In a setting in which votes are tallied at the level of the municipality, structuring one's campaign organization in this manner creates clear lines of accountability, in which a politician can determine how hard her campaign managers are working on her behalf. By this logic, however, it would have made sense for *non*-LDP politicians to have structured their campaigns this way. The GBC theory helps us see that what sets LDP politicians apart from their non-LDP peers is their *access to government resources* that can be funneled to units in exchange for votes. It is possible that not having access to such resources meant that non-LDP politicians could not realize the same gains from a divide-and-conquer strategy.

Tanaka contested his last Lower House election in 1986; Sato, in 1990. What evidence do we have from recent years that LDP politicians can influence NTD allocations? In Chapter 4, I explained why democratically elected politicians are unlikely to make direct statements to the effect that they are tying the amount of government resources voters receive to their performance in elections. Nevertheless, we can find instances in which LDP politicians did make these statements. In January 2019, LDP Secretary General Nikai Toshihiro visited Tokushima prefecture in advance of an Upper House election. To a hotel room full of people employed in land improvement, Nikai said "It is natural that we would allocate more of the budget to places that tried hard for us in the election." He went on to say that the party would "take a break" from directing resources toward places that had not "worked with it," and even said that if the LDP did not do that, "there would be no value in its existence" (Tokushima Shimbun 2019).

Immediately after the 2017 Lower House election, an LDP candidate who lost his district in Niigata prefecture but managed to win a PR seat wrote on his blog that because four of the six districts in Niigata had been won by non-LDP politicians, the "current situation, in which money (yosan) is not coming to Niigata" would continue. In response, the opposition-aligned Governor held a press conference, in which he called the comments "proof that the LDP was administering unfairly." He said that the comments were equivalent to declaring "if you want money (yosan), you have to help elect LDP politicians" (Asahi Shimbun 2017). He then reassured his audience that he had consulted the amount of NTD (referring to the fund by name) that Niigata prefecture had received the previous fiscal year, and it was not, in fact, lower

every voter on the island voted for another LDP politician. In the 1967 election, 95% of votes cast in Himeshima went to this other LDP politician, leaving 5% to be divided among the remaining four candidates (Curtis 1971, 52–53). The author's fieldwork revealed that the mayor of Himeshima displayed plaques lauding the village's "high voting rate" (98% in the previous election) on the wall of his office.

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than the amounts received by other prefectures. Another statement comes from the 2003 Lower House election.[30] Two days before the election, the Governor of Aichi prefecture visited the Minister of Internal Affairs and Communications LDP politician Aso Taro, to petition him on a project. In the meeting, Aso reportedly admonished the Governor, saying that he was in no position to present the petition given the poor showing for the party's candidates in recent elections (Asahi Shimbun 2003). This led to a local chapter of the opposition DPJ complaining that "Aichi prefecture is not the LDP's private property."[31]

Campaign manifestos prepared by LDP candidates and delivered to voters in advance of Lower House elections contain many statements alluding to their ability to influence central government resources, with a minority of LDP candidates actually *advertising* the amounts of money they had secured. Catalinac (2016) analyzed election manifestos written by 7,497 candidates contesting the eight Lower House elections held between 1986 and 2009.[32] In earlier years, LDP candidates promised to improve transportation systems and sewerage facilities, construct new subway lines, improve connections between their local area and the nearest bullet train station, help the local fishing industry by investing in fish grounds and fish farming, implement structural improvement projects for the local textile, glass, and lacquer ware industries, realize new financial measures to support small-and-medium-sized businesses, develop local harbors, improve the network of prefectural roads, farm roads, and forest roads, improve rivers, and develop public facilities in the realms of housing, schools, hospitals, nursery schools, sports facilities, and parks.[33] They also promised to invest in industries "distinctive to the area," naming fruit tree or livestock farming as examples, support local commercial and industrial associations, develop "successor training projects," beautify streets, parks, and recreational facilities, build facilities for the elderly and other cultural and leisure facilities, and invest in urban rivers, suburban agriculture, and public housing, respectively.[34]

[30] This was first referenced in Scheiner (2006).

[31] Other examples appear in Scheiner (2006: 110–111).

[32] In advance of Lower House elections in Japan, candidates draw up personal manifestos outlining their stances on issues, policy promises, areas of expertise, name, party affiliation, background, and anything else they want voters to know about them. The manifestos (senkyo koho) are distributed to all registered voters in the district just prior to the election.

[33] See, for example, the manifestos of LDP candidates Okonogi Hikosaburo, Makino Takamori, Eto Takami, and Miike Makoto in the 1980 election.

[34] See, for example, the manifestos of LDP candidates Mori Kiyoshi, Kano Masaru, Kato Koichi, Tamura Hajime, Sekiya Tsutsugu, Chikaoka Riichiro, Uetake Shigeo, and Aizawa Hideyuki in the 1990 election.

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In later years, LDP candidates promised tunnel roads, underground malls, parking lots, elevated railway lines and traffic interchanges, revitalization measures for shopping streets, the burying of power lines, the development of fishing ports, the construction of history museums, land readjustment projects, adjustments to make towns friendlier to those with disabilities, roads for runners and cyclists, policies to enhance the area's attractiveness to international tourists, improvements to waste management systems, projects for river renovation, and funds to ensure the area could "maintain high-quality ambulances and fire trucks with ladders."[35] They also emphasized that public works projects contributed to the local economy. One LDP candidate told his constituents that "without public works there can be no economy or employment," and promised to "strive for the efficient allocation of reserve funds and supplementary budgets for public works projects."[36] After the Fukushima earthquake and nuclear reactor disaster in 2011, LDP candidates began pledging funds for reconstruction and disaster prevention measures. They also promised to improve agricultural infrastructure, increase funds for wildlife damage control, implement measures to boost farmers' income and cultivate more farmers, maintain farmland, and reverse cuts implemented by the DPJ government (2009–2012).[37] While campaign promises are not direct evidence that LDP politicians can influence bureaucrat-determined allocations, it is hard to imagine why they would make these promises, and promises that appear *tailored* to the needs of their constituents, if they were unable to do so.

Let me anticipate three further questions. First, readers familiar with the Japanese politics literature may be thinking: "But hasn't Japanese politics changed? Haven't we been told that pork-barrelling is a thing of the past?" These readers are likely drawing on studies of the effects of Japan's 1994 electoral reform, which found that it reduced particularism and created more cohesive, hierarchical parties (Goplerud and Smith 2023; Catalinac 2018, 2015; Reed, Scheiner and Thies 2012; Rosenbluth and Thies 2010; Krauss and Pekkanen 2010). My answer is that Japanese politics has changed, but the theory in this book helps us see that change may have been concentrated in places where the (newly drawn) post-1994 electoral district *ruled out* the possibility of a tournament. In Chapter 5, I explained that Japan's 1994 electoral reform created new electoral districts, many of which were tournament-impossible. Whereas

[35] See, for example, the manifestos of LDP candidates Totsuka Shinya, Oita Seishiro, Yasuoka Okiharu, and Ioku Sadao in the 2000 election.

[36] See the manifesto of LDP candidate Oita Seishiro in the 2000 election.

[37] See, for example, the manifestos of LDP candidates Suzuki Shunichi and Komatsu Yutaka in 2012.

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tournaments used to be impossible in only about 9% of districts prior to 1994, they became impossible in 27% of districts between 1994 and 2003, 38% of districts in 2005, and about 50% of districts thereafter. The theory leads us to expect that the increase in share of tournament-impossible districts would have created a more pronounced *bifurcation* in LDP politicians' electoral strategies, with LDP politicians in tournament-*possible* districts hewing to a tournament (and perhaps even finding tournaments easier to run now they are the sole LDP representative) and their counterparts in tournament-*impossible* districts embracing new electoral strategies.

Needless to say, there is considerable evidence of this bifurcation in the literature. Koellner (2009) explains how old-fashioned "vote mobilization" techniques, in which LDP politicians cultivate personal support organizations and treat them as vote banks, hiring staff to make phone calls to lists of members during campaigns and telling those members what the politician has done for the community, exist alongside modern "vote chasing" strategies, which involve using the LDP's brand, its programmatic policies, and the face of its leader to attract independent voters. His data show that membership in personal support organizations, for example, declined in the 1990s "but not on a massive scale" (Koellner 2009, 133). Membership declines in the industry and other organizations LDP politicians rely on for vote-gathering have also been documented (Reed 2021; Maclachlan 2014). Similarly, Catalinac (2016)'s analyses revealed that discussion of pork-barreling in the average LDP candidate election manifesto declined significantly after 1994 but still constituted roughly one-third of discussion through the 2009 election (the last one for which she has data). In that book, pork-barreling was defined as promises concerning a relatively narrow group of voters, and in practice, constituted promises to secure money for constituents. The case studies in Chapter 3 of Krauss and Pekkanen (2010) and all chapters in Otake (1998) also provide ample evidence that change occurred, but perhaps not on the scale expected by theories of electoral systems.

Merging the data collected for Catalinac (2016) to my data classifying electoral districts as tournament-possible or not provides systematic evidence that LDP candidate strategies are bifurcated along this dimension, and this is related to the type of electoral district they are in. For that book, I gathered the universe of 7,497 candidate election manifestos used in eight Lower House elections (1986–2009) and used unsupervised learning techniques to code the proportion of discussion devoted to pork-barreling and programmatic policies, respectively. These topic proportions offer a means of examining whether LDP candidates in tournament-possible districts adopt different electoral strategies than

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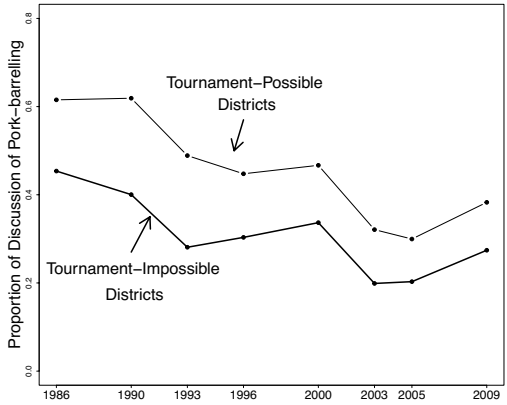

Figure 6.4 LDP candidates in tournament-possible districts include more discussion of pork-barreling in their manifestos, 1986–2009.
The dotted line plots the mean discussion of pork-barreling, drawn from topic modeling in prior work, in the manifestos of LDP candidates contesting tournament-possible districts. The solid line plots the mean discussion of pork-barreling for LDP candidates contesting tournament-impossible districts.

their counterparts in tournament-impossible districts. If the former set of LDP candidates are conducting tournaments, we can expect that their manifestos will reflect this, with a larger share of discussion devoted to pork-barreling.

I found a statistically significant difference in campaign strategy in exactly this direction: In every one of these Lower House elections, LDP candidates in tournament-possible districts devoted systematically more space in their manifestos to pork-barreling than their counterparts in tournament-impossible districts. Figure 6.4 plots mean discussion of pork-barreling in the manifestos of LDP candidates running in tournament-possible and tournament-impossible districts, respectively, in each election in the sample. These difference in means are statistically significant in all years, and hold up in regression analyses with pork-barreling discussion as a function of tournament-possible district, with controls for election year, district magnitude, and number of candidates running.

This is compelling evidence, from data gathered for a completely different purpose, that tournaments impact electoral competition. Electoral competition is qualitatively different in electoral districts in which tournaments are possible versus electoral districts where they are not. The fact that LDP candidates in tournament-possible districts devote more discussion to pork than their counterparts in tournament-impossible districts should also assuage any remaining concerns that the pattern of resource allocations uncovered in Section 6.2 are not the product of

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LDP politicians' own actions. If LDP politicians were *not* the driving force behind these allocations, and they were coming from the actions of another actor, such as bureaucrats, we would be unlikely to observe a qualitatively different emphasis on pork-barreling in the campaign strategies of LDP politicians, depending on type of district.

Second, is it plausible that rank-and-file LDP politicians have the connections to bureaucrats that enable them to lobby on behalf of constituents? My answer is: "yes."[38] Let me offer two reasons, one connected to the *characteristics* of people who become LDP politicians and the other connected to *internal party organization*. One, the Japanese politics literature has established that the most common backgrounds of LDP politicians are former bureaucrat, former local politician, and second-generation politician, respectively (Horiuchi, Smith and Yamamoto 2020). According to data from Bergman et al. (2022), 26% of LDP politicians were former bureaucrats in 1980, and by 2000, this was still 25.5%. By definition, junior LDP politicians who had careers in the bureaucracy before entering politics have solved the problem of needing connections to the bureaucracy (Ramseyer and Rosenbluth 1993). Evidence of this comes from their campaign material: Bureaucrat-turned LDP candidates tell voters about their backgrounds and explain that it helps them get things for their constituents. In 1990, for example, a first-time LDP candidate told voters that he had worked for the Ministry of Labor for twenty-two years, and the experience and connections gleaned from participating in the formulation of national policies, budgets, and laws "will be useful to everyone as a liaison between Toyama and national politics."[39] Another veteran LDP politician described his goals as being to "make use of the 30 years I spent working at the Ministry of Finance," and "act as a liaison between the central government and local area, and secure funds from the central government for public works and other investment."[40]

Rank-and-file LDP politicians who are former local politicians have experience in a related domain: identifying projects that their community wants, building a consensus around those projects, and lobbying their LDP politician for assistance. For some of these local-politician-turned-LDP-politicians, that experience would have involved meeting with central government bureaucrats in Tokyo. While such meetings may not have led to deep bonds or sustained interactions, it would have given

[38] Other studies answering in the affirmative include Scheiner (2005, 2006); Saito (2010); Horiuchi and Saito (2003); Hirano (2006); Reed and Thies (2001); Hirose (1993); Yonehara (1986); and Ishihara (1986).

[39] Manifesto of Nagase Jinen.

[40] See manifesto of Aizawa Hideyuki.

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this subset of LDP politicians a modicum of experience with the bureaucracy, potentially laying the groundwork for a deeper relationship to be built after an election victory. Finally, Smith (2018*a*)'s data shows that the LDP is the most dynastic of all major parties in the twelve democracies he surveyed, with 39% of LDP-affiliated Diet Members in the 1996–2012 period claiming dynastic status. While the focus of research on dynastic politicians has been on the *electoral* advantages of inheriting a name and support base, it is also possible that these politicians inherit their family members' *connections to the bureaucracy*.

Aside from personal characteristics, a feature of the LDP's internal organization that provides rank-and-file LDP politicians with introductions to bureaucrats is its factions. Since its formation in 1955, the LDP has been a factionalized party, under which almost all LDP politicians affiliate with one of five (or six) factions (Krauss and Pekkanen 2010). The main purpose of an LDP faction is to muster the votes necessary for the faction leader (or the faction's preferred candidate) to win the party's presidential election.[41] Because of the party's Lower House majority, a victory in this election meant the person became Prime Minister (Tsurutani 1980). In order to secure those votes, faction leaders sought to make themselves indispensable to members, plying them with all manner of electoral support, which ran the gamut from campaign funds to introductions to high-ranking bureaucrats and interest groups. Masumi (1995) writes:

> Rank-and-file Diet members obtained more than mere assistance in political funding from the faction "boss." They were able to exploit the influence of the boss and fellow faction members in channeling subsidies and other rewards of the pork barrel apparatus to their constituencies. The factions turned into a kind of mutual aid society for Diet members, who needed to satisfy the localized interests of their respective constituencies.

Ramseyer and Rosenbluth (1993, 59) agree with this assessment, calling LDP factions "non-ideological conduits of particularism." While research alluding to the role of faction leaders in helping rank-and-file members meet bureaucrats is older, the possibility remains that faction leaders still perform this function today.[42]

[41] While the electoral system the party uses to select its leaders has varied, in the vast majority of elections held since 1955, each LDP-affiliated Diet member had one vote and those votes carried the bulk of voting weight (Sasada 2010).

[42] Note that an implicit assumption here is that the LDP does not have a bureau that coordinates or screens LDP politicians' requests of bureaucrats. In an interview, I asked an LDP politician if his requests "had to go through the party" and he said "no" (Interview, LDP House of Councillors Member, Tokyo, Japan December 14, 2023). This assumption is shared by Hirano (2011, 1086), who writes: "The influence appears to be through a Diet member's informal connections which

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6.4.2 Voters Are Aware of This Strategy

The theory assumes that there is at least some awareness among voters that the amount of resources one's community receives is a function of how it votes. A number of sources provide indirect evidence of this, but the theory expects that direct evidence will be hard to come by. Why? The threat to democratic integrity inherent in a tournament gives LDP politicians incentives to avoid statements that make it clear that voters are competing against each other. While LDP politicians may be more frank about the competitive nature of resource distribution when dealing with the local politicians and others they rely on for vote mobilization, this frankness is unlikely to extend to their everyday dealings with constituents. While future research could design an experiment to try to pick up on this implicitness and measure the extent of voters' understanding (and how this might compare to vote mobilizers' understanding), the best we can do in these pages is provide the following pieces of indirect evidence.

First, the campaign manifestos I referenced above are distributed to all registered voters in Japan and broad swaths of them pay attention to them during election campaigns. After every Lower House election, Japan's Association for the Promotion of Clean Elections conducts a survey on a representative sample of approximately 3,000 Japanese voters. One of the questions asks respondents to name any and all campaign material they "saw, listened to, or were persuaded by" during the course of the campaign. In the period 1972–2005, which covers the first twenty-five years of my study, an average of 42% of respondents named the manifesto when answering this question (Catalinac 2016, 67). Two reasons manifestos assume such prominence is because Lower House election campaigns are very short (only two weeks) and candidates face severe restrictions on their use of other media, such as TV, radio, or the internet, respectively (McElwain 2008). Given that LDP candidates devote large chunks of space in their manifesto to promises of projects for their community, we can conclude that many voters are aware that their LDP politicians plan to do this.

Second, indirect evidence of awareness that money for those projects is connected to how people vote comes from an unlikely place: a comic

help guide her constituents' applications for central government subsidies through the budgetary process." All available evidence points to lobbying being a relatively *decentralized* activity, in which LDP politicians largely rely on their own connections to bureaucrats, or connections provided by membership in an informal institution such as a party faction, while also leaning heavily on their status as members of the ruling party.

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book. Referenced in Saito (2010), in 1990 a comic book called *The Tractor for the Vote Fields* was published (Nabeshima and Maekawa 1989). This depicts the life of an LDP Lower House member, who carries around a piece of paper upon which the names of the municipalities in his electoral district appear, with their vote totals in the last election printed underneath. In one scene, the politician receives mayors in his office one by one, who visit to solicit his assistance with projects each wants funded in his municipality. The politician consults the sheet of paper and decides what should happen to each municipality's budget in response to its request. To one mayor, the politician declares that because his votes decreased in the mayor's municipality, there is "no point" in cooperating with him. Instead, the municipality's budget would be "cut in half!" To another mayor, he exclaims "you tried so hard for me in the last election!" The mayor replies "I risked my life and managed to double your vote share," to which the LDP lawmaker replies "The riverbed plan for Sango Town? Done! I'll also build you a new community hall."

While we cannot rule out the possibility that these scenes are entirely made up, they could indicate a modicum of awareness in the electorate that voters have to perform to get money. Interviews and case studies show that LDP politicians do carry around lists of municipalities, with their vote tallies listed. In an interview, a local politician told me that when he served on the staff of an LDP-affiliated Diet Member, "we calculated the vote share he got in every municipality in the district. Even if the municipality had a tiny number of people in it, I always had it in my head what proportion of them voted for him."[43] In a case study of an LDP Lower House member elected in Kagawa prefecture, Krauss and Pekkanen (2010, 72) wrote that the Member carried a laminated sheet with the election results for the past several elections, broken down by location, in the pocket behind the driver's seat of his campaign car. The authors observed that the Member noticed when his votes went down in a particular locale and "feels and acts as though he is chasing every vote."

Third, survey data suggests that geographically targetable spending of the type LDP politicians provide is of interest to Japanese voters. In 1977, the Cabinet Office carried out a one-time Survey of Public Works.[44] Targeting a representative sample of 10,000 Japanese voters, it asked whether respondents thought more public works was necessary for their community. About 65.2% of respondents replied in the affirmative, while 22.3% said no. As to the type of public works deemed necessary, 71.2% of respondents chose "public works that improves our quality of life, such

[43] Interview, Sendai, Japan, June 2018.

[44] To my knowledge, the survey has not been repeated. It can be found at: https://survey.gov-online.go.jp/s51/S52-02-51-20.html.

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as housing, parks, sewerage systems, and roads we use every day" over other public works to ensure safety in the face of natural disasters or public works to facilitate economic development. When asked whether local public works had improved their quality of life, 46.9% said yes, 37.1% said not much, and only 3.2% said not at all. More recently, a 2012 poll conducted by a large newspaper, the Asahi Shimbun, showed that 38% of respondents still chose "increase" when asked whether they wanted the new government to increase or decrease public works projects.[45]

Fourth, a central implication of the theory is that in electoral districts where tournaments occur, voters in highly performing municipalities are less likely to vote on policy grounds. By making it clear that the amount of money municipalities receive is a function of electoral loyalty, with amounts increasing with loyalty in a convex fashion, the incumbent is able to engineer a situation in which it is very costly for voters in highly supportive municipalities to vote for anyone other than them. Because a handful of votes in these municipalities could mean the difference between first and second in loyalty, which could mean the difference between the money for a needed project versus not, the theory expects that voters in supportive municipalities will reason that, given the incumbent is likely to remain in power regardless of how they personally vote, it is better to forgo the opportunity to use their vote to communicate dissatisfaction with the party or its policies, and instead use it to make sure their community remains a priority when it comes to resource allocations. This means that in a tournament, large numbers of voters may *dislike* the incumbent and/or their policies but have few incentives to translate that dissatisfaction into their actual voting behavior.

For evidence of this, we can turn to the University of Tokyo-Asahi Shimbun Public Opinion Survey (Taniguchi and Asahi Shimbun 2019).[46] Conducted on a representative sample of 3,000 voters after every Lower House election since 2003, the surveys include an indicator for the electoral district in which respondents live. This enables us to examine whether responses differ by whether the respondent's district is tournament-possible or not. Whereas a better test would compare the responses of voters in highly supportive municipalities in tournament-possible districts with everyone else, the survey does not include indicators for municipality, so this will have to be left to future research.[47]

[45] This poll is available at www.asahi.com/special/08003/TKY201212110879.html.
[46] See www.masaki.j.u-tokyo.ac.jp/utas/utasindex_en.html for more information.
[47] Other public opinion surveys in Japan consulted for this project do not include codes for either electoral district or municipality.

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In the 2012 survey, which had a response rate of 63.3%, respondents were asked which policy areas were most important to them.[48] Fifteen areas were listed, including diplomacy and national security, pensions and medical care, education and parenting, political and administrative reform, industrial policy, agriculture, forestry, and fisheries, among others. Then, respondents were asked to evaluate each party's positions on the policy areas they had deemed most important.[49] Answers respondents could select were "positively," "somewhat positively," "not sure," "somewhat negatively," or "negatively."[50] A third question asked which party's candidate the respondent voted for in their electoral district (SSD). We can use these questions to examine whether the relationship between positive evaluations of the LDP's policies and voting for the LDP candidate differs for respondents in tournament-possible and tournament-impossible districts, respectively.[51]

In Table 6.10, I present the results of three regression models. The dependent variable in all models is Voted for the LDP Candidate, which takes a "1" for respondents who reported voting for the LDP candidate in the electoral district and "0" otherwise.[52] In Model 1, I examine the relationship between residing in a tournament-possible district and voting for the LDP candidate.[53] In Chapter 5, I used data on election outcomes to show that LDP candidates win at higher rates in these districts, so I expect the coefficient on Tournament-Possible District to be positive and statistically significant. This is indeed what we find: Controlling for the gender and age of respondent, survey respondents in a tournament-possible district are more likely to cast their votes for LDP candidates, relative to survey respondents in tournament-impossible districts.[54]

In Model 2, I examine the relationship between evaluating the LDP's policy positions positively and voting for the LDP candidate. The independent variable of interest, Likes LDP Policies, takes a "1" if the

[48] The question was "Which of the following policies is most important to you in this election? What is your second and third most important policy?"

[49] The question was "How do you evaluate the pledges of the Liberal Democratic Party on the policies you answered 'most important' in Q6?," adapted for each party.

[50] Respondents could also choose "do not know" or "no answer."

[51] Altogether, the 2012 survey furnishes 908 valid responses from 112 tournament-possible districts and 992 valid responses from 129 tournament-impossible districts.

[52] These are linear probability models.

[53] I drop respondents who selected "no answer" ($n = 10$).

[54] Gender is coded 1 for women and 0 for men.

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Table 6.10 *Respondents in tournament-possible districts (Model 1) are more likely to vote for LDP candidates (Model 1), and respondents who like LDP policies are also more likely to vote for LDP candidates (Model 2) (2012 election). The coefficient on the interaction of the two is in the expected direction (negative), but it is not statistically significant.*

	Dependent variable: Voted for LDP		
	(Model 1)	(Model 2)	(Model 3)
Tournament-Possible District	0.078***		0.102***
	(0.022)		(0.029)
Likes LDP Policies		0.420***	0.446***
		(0.026)	(0.036)
Likes LDP Policies × Tournament-Possible District			−0.047
			(0.051)
Age	0.033***	0.003	0.002
	(0.007)	(0.008)	(0.008)
Gender	−0.042	0.025	0.026
	(0.022)	(0.024)	(0.024)
Constant	0.202***	0.283***	0.234***
	(0.032)	(0.036)	(0.039)
Observations	1,890	1,464	1,464
R^2	0.021	0.153	0.162

***$p < 0.001$.

respondent answered that they evaluated the LDP's policy positions "positively" or "somewhat positively," and "0" otherwise.[55] The coefficient on Likes LDP Policies is positive and statistically significant, controlling for the gender and age of respondent. This is evidence of broad congruence in the electorate between policy preferences and vote choice: Respondents who like LDP policies tend to vote for LDP candidates.

In Model 3, I examine the interaction of Tournament-Possible District and Likes LDP Policies. The theory expects that the relationship between liking LDP policies and voting for the LDP will be weaker in tournament-possible districts, on account of the fact that a portion of voters in these districts (in highly supportive municipalities) are prioritizing their municipality's *resource allocation* when casting their votes, not their policy preferences. The interaction is negative, but not statistically significant, while Tournament-Possible District and Likes LDP Policies remain positive and statistically significant. Thus, liking LDP policies is associated with voting for the LDP in both types of districts, and being in

[55] The sample size is smaller than in Model 1 as I drop respondents who selected "no answer" ($n = 28$) and respondents coded "not applicable" because they did not vote ($n = 401$).

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Table 6.11 *Among people who voted for the LDP, being in a tournament-possible district is negatively associated with liking LDP policies, relative to being in a tournament-impossible district.*

	Dependent variable: Likes LDP Policies	
	(Model 1)	(Model 2)
Tournament-Possible District	−0.097*	−0.095*
	(0.039)	(0.039)
Age		0.048***
		(0.012)
Gender		−0.155***
		(0.039)
Constant	0.572***	0.445***
	(0.029)	(0.059)
Observations	642	642
R^2	0.009	0.052

*$p < 0.05$; ***$p < 0.001$.

a tournament-possible district is associated with voting for the LDP, both for respondents who do and do not like the party's policies. However, while the sign on the interaction is in the expected (negative) direction, it is statistically insignificant, meaning that we do not have strong evidence that relationship between liking LDP policies and voting for the LDP is different in tournament-possible districts.[56] However, this could be because the respondents in the tournament-possible districts in the sample happen to reside in the *less* supportive municipalities, where the returns for prioritizing one's municipality's resource allocation when voting are lower, leaving more room for policy-based voting. If our respondents in tournament-possible districts resided in the less supportive municipalities, the distinction between them and respondents in tournaments-impossible districts would not be as stark.

In Table 6.11, I limit the sample to respondents who voted for the LDP's candidate in the SSD ($n = 642$). In both models, the dependent variable is Likes LDP Policies and the independent variable of interest is Tournament-Possible District. If the theory is correct and voters in tournament-possible districts are less likely to vote on policy grounds, then we would expect a negative, statistically significant coefficient on

[56] If the interaction was statistically significant, the impact of liking LDP policies on voting for the LDP in tournament-impossible districts would have been 0.446, while the impact of liking LDP policies on voting for the LDP in tournament-possible districts would have been 0.399, which is lower (the calculation is $0.446 + (-0.047 * 1)$).

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Tournament-Possible District. This would indicate that, among respondents who voted for LDP candidates in their districts, those residing in tournament-possible districts were significantly less likely to report liking LDP policies relative to their counterparts in tournament-impossible districts. This is exactly what we find. In Model 1, the coefficient on Tournament-Possible District is negative and statistically significant, and this holds after we add controls for age and gender of the respondent in Model 3.

In sum, there is evidence that voters voting for the LDP in tournament-possible districts are engaging in a different calculus than their counterparts voting for the party in a tournament-impossible district. This is also further evidence, from completely different data, of the bifurcated electoral competition described above: Voters appear to be using different heuristics to decide who to vote for in tournament-possible versus tournament-impossible districts.

6.5 WHERE PRIOR RESEARCH WENT WRONG

My results in this chapter have revealed a powerful relationship between electoral support and transfers within electoral districts, the direction and shape of which are consistent with expectations from the tournament theory. It also supplied a wealth of qualitative evidence that should assuage concerns that this relationship could be due to anything other than the deliberate actions of LDP politicians trying to stay in power. Given the wealth of qualitative evidence documented above, it may come as a surprise for readers to learn that no prior study uncovered this relationship, even when it looked at voting and transfer data similar to that which I examine.[57] On this basis, Hirano (2011) concluded that LDP politicians were not pipelines between the national treasury and their districts and had "limited personal influence over the amount of government transfers directed to their constituents" (Hirano 2011, 1082).

[57] The prior studies most relevant to analyses in this chapter are Saito (2010) and Hirano (2011), both of which examine the relationship between money and votes at the municipality level. Chapter 7 surveys research that examines the relationship between votes and money to electoral districts and prefectures, respectively. Note that Horiuchi and Saito (2003) also examine transfers to municipalities, but they do not examine the impact of electoral support for the LDP at the *municipality* level. Electoral support for the LDP, conceptualized as the share of a district's seats occupied by LDP politicians, is measured at the district level. In Chapter 7, I explain that their results show that this variable is negative and statistically significant for elections prior to 1994. This means that, controlling for other differences across municipalities, including in the number of Diet Members representing them, municipalities in districts where a larger share of those Diet Members were LDP-affiliated received *fewer* transfers.

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Because a second goal of this book is to make substantive contributions to Japanese politics, this section explains why prior studies did not find persuasive evidence that resource allocations in Japan are driven by a reward-the-supporter logic.

One, the tournament theory holds that politicians can garner high levels of support by making municipalities compete against each other for prizes. Within districts, the observable implication of this is that prizes *follow* support, as I have shown in this chapter. But another implication of the theory, examined systematically in Chapter 7, is that the relative sizes of the municipalities in a given electoral district impacts the total amount of money politicians have to make available for prizes. As I explained in Chapter 4, when there is greater asymmetry in municipality size, politicians have to offer more money for the same level of support relative to when there is less asymmetry in municipality size. This means that the most supportive municipality in a district consisting of relatively *evenly* sized municipalities could receive a *smaller* prize, all else equal, than the least supportive municipality in a district consisting of unevenly sized municipalities.

The analyses in this chapter used district-year fixed effects to control for differences across electoral districts. As I explained, the use of district-year fixed effects enabled me to look *within* district-years. When I did that, I found that money increases with electoral support. By extension, however, any analysis that does *not* control for the fact that the size of the prize differs systematically according to the degree of asymmetry in municipality size may not find any evidence of a relationship between support and transfers. Such analyses may, in fact, find evidence of the *opposite* relationship: That municipalities with high levels of support receive *fewer* transfers. How? If the majority of electoral districts consist of relatively *evenly* sized municipalities, and the municipalities in those districts are receiving, on average, *less* money for a given level of support than municipalities in districts consisting of unevenly sized municipalities, then it is easy to see how, absent any controls for district-level asymmetry, higher levels of support could appear to correlate with fewer transfers.

This helps to explain why Saito (2010)'s empirical analyses yielded little evidence that municipalities with high levels of support received more transfers. Saito (2010) offered an argument that is very similar to ours: Drawing on Stokes (2005)'s notion of perverse accountability (gyaku setsumei sekinin in Japanese), he argued that the lack of a robust opposition in Japan enabled LDP politicians to convey to their supporters that because they are the ruling party, they will continue to be the ruling party. This created conditions under which LDP politicians

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could have supporters serve *their* interests (getting reelected), rather than the other way around, *them* serving their *constituents*' interests. The author argued that they did this by making their supporters compete in a "vote-gathering competition" (shuhyou gassen), in which they had to demonstrate their fealty to the party, election after election, in order to continue receiving government money.

While his argument is very much in keeping with the argument of this book, the results of his empirical tests were not entirely consistent with those claims. He found that municipalities supplying vote shares for the LDP that were higher than the *average* vote share supplied by a municipality in the same district tended to receive per capita transfer allocations that were larger than the average allocation received by a municipality in the same district (Models 1 and 2) (Saito 2010, 123). However, when the *absolute* amount of per capita transfer allocation was used, municipalities returning higher-than-average LDP vote shares were found to have received *smaller* per capita transfer allocations (Model 3). Once controls were added (also expressed in terms of deviation from the district average), a municipality's LDP vote share was found to have *no relationship* to its transfer allocation (Model 4).[58]

In Saito (2010)'s analysis, district-year fixed effects do not appear to have been used. As a consequence, it is not surprising that his results showed no relationship between support and transfers in one model and a statistically significant, *negative* relationship in another. I conducted supplementary analyses to check whether my interpretation of the dissonance between his results and mine is the correct one. In Model 1 of Table A.7, I examine the effect of my first measure of support, Best LDP $VS_{m,t}$, on per capita transfers after elections for municipalities in Lower House elections, 1980–2014 (excluding 2009). The sample and specification is identical to that in Model 1 of Table 6.1, except I use *year* fixed effects, not district-year fixed effects. In this regression, no district-level differences are controlled for. The coefficient on Best LDP $VS_{m,t}$ is negative and statistically significant. In Model 2 of Table A.7, I examine the effect of my second measure of support, Sum LDP $VS_{m,t}$. Again, the sample and specification is identical to that in Model 3 of Table 6.1, with the only difference being the use of year fixed effects instead of district-year fixed effects. The coefficient on Sum LDP $VS_{m,t}$ is negative and statistically significant. The results of these models serve as a stark

[58] Note that his dependent variable was the sum of the formula-based (LAT) and discretionary (NTD) transfer received by municipalities in the periods following the Lower House elections between 1977 and 1990, where "period following" are the years until the next election (Saito 2010, 116). In Chapter 5, I explained that there is little evidence that allocations of the former transfer are susceptible to influence by LDP politicians.

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reminder that district-level differences matter greatly when it comes to determining a municipality's transfer allocation, and analyses that do not take these district-level differences into account risk mischaracterizing the relationship between support and transfers at the municipality level.

Hirano (2011) leveraged the sudden deaths of 67 Lower House Members between 1977 to 1992 to investigate whether the (NTD) transfers received by municipalities in those Members' bailiwicks declined in the wake of their deaths. Of these Members, 47 were LDP politicians and municipalities were treated as being part of a politician's bailiwick if they returned a vote share of 30% or higher for the politician. In a specification that compared the amount of transfers received during a given legislative session by municipalities that were and were not in bailiwicks of the newly deceased Member, he found that municipalities in the bailiwicks of someone who died experienced no noticeable reduction in transfers. His specification did not include district-year fixed effects, meaning that it did not explicitly compare municipalities that were supportive of a given Member who died with municipalities in the *same* district that were less supportive. This could explain his lack of results.[59]

A second reason prior work did not unearth the relationship between support and transfers that we uncovered above is because it relies on a different operationalization of electoral support altogether. To my knowledge, all prior work on the politics of transfers in Japan has used votes cast for all LDP candidates to construct a measure of electoral support. Almost always, it is votes cast for all LDP candidates, including losing ones, divided by the number of valid votes cast. In contrast, the tournament theory holds that it is only LDP politicians who *win* the election who will reward the municipalities that put them there with more government money after the election. The results thus far have borne this out: Tables 6.4 and 6.7 showed that increases in electoral support for losing LDP candidates were associated with *less* money after elections. Thus, the tournament theory holds that the appropriate numerator is votes cast for LDP *winners*, not votes cast for all LDP candidates. Moreover, because LDP politicians seek to maximize the number of votes cast for them out of

[59] In a second analyses, Hirano (2011) compared the amount of transfers received by municipalities in the bailiwicks of LDP candidates who narrowly won the last seat in their district with municipalities in the bailiwicks of LDP candidates who narrowly lost the last seat. His research question here was whether municipalities in the bailiwicks of the LDP politicians who narrowly won receive more transfers, on average, than municipalities in the bailiwicks of LDP politicians who narrowly lost. Notwithstanding differences across electoral districts, which are not fully controlled for, he finds evidence that they do. This is in keeping with my finding that municipalities returning high support for *losing* LDP candidates do not receive transfer allocations commensurate with their effort the way municipalities returning high support for winning LDP candidates do.

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all available votes in the municipality, and not the share of votes cast, the appropriate denominator is not valid votes cast, but number of eligible voters in the municipality.

In Model 3 of Table A.7, I show how different the results look when electoral support is measured the way it has been previously. I examine the effect of an alternative measure of support, which matches how other studies have operationalized it. All LDP $VS_{m,t}$ is the number of votes cast for all LDP candidates competing in municipality m, divided by the total number of valid votes cast in municipality m.[60] In this model, the sample (municipalities in Lower House elections between 1980 and 2014, excluding 2009) and specification (year fixed effects instead of district-year fixed effects) is identical to that in Model 1 of the same table. The coefficient on All LDP $VS_{m,t}$ is negative and statistically significant.

In sum, Table A.7 bolsters this interpretation of why my results differ from results reported in previous work. The results in this table, when compared with those presented earlier in this chapter, also offer powerful evidence that district-level differences matter enormously. This implies that two municipalities could rank first in support, each returning a Best LDP $VS_{m,t}$ score of 0.8, for example, yet receive systematically different amounts of money, based on the type of district they are in. The theory has clear expectations about which district-level characteristic is likely to drive differences in amount of money received. Evaluating these predictions is the subject of Chapter 7.

[60] As noted in Chapter 5, this is sotai tokuhyouritsu in Japanese.

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